

ASEAN Equity Strategy

Can ASEAN benefit beyond AI?

Equity Strategy

Asia

Looking beyond the underperformance

ASEAN's underperformance relative to Asia ex Japan reflects macro headwinds, policy uncertainty and limited direct exposure to the AI theme that has driven regional equity returns. Tech accounts for just 4% of MSCI ASEAN, yet drove 25% of index returns YTD. Growth expectations and investor sentiment are subdued, leaving the region largely overlooked. While aggregate valuations have been lifted to 2SD above the 20-year average by a handful of index heavyweights, valuations across the broader market remain compelling, with 55% of MSCI ASEAN stocks trading below historical averages. Capital market reforms and domestic policy initiatives are gaining traction, creating potential re-rating catalysts. As investors diversify beyond increasingly concentrated AI-related holdings, ASEAN markets could warrant renewed attention.

Selective flows and positioning could broaden on AI diversification

Limited large-scale AI beneficiaries have resulted in uneven participation across ASEAN. Foreign investors have been net buyers of Thailand and Malaysia, reflecting interest in reform momentum and tech-related themes, while Indonesia and the Philippines continue to see net outflows amid policy uncertainty and macro concerns. Singapore remains the only ASEAN market where global funds are overweight, while the rest are broadly neutral. We expect AI to remain the dominant driver of investor allocations, favouring markets with direct and indirect exposure to the theme, including Thailand, Malaysia and Singapore. As market leadership broadens beyond a narrow group of AI winners, however, ASEAN could attract incremental inflows particularly into markets offering earnings visibility, reform momentum and valuation support. Recent performance may be an early indication of a shift, with ASEAN outperforming broader EM and Asia by 16% since KOSPI's June 2026 peak.

Key themes that will drive markets in H226

1) Direct AI exposure remains limited at 8% of ASEAN (versus 31% for EM/APAC), but the region provides selective opportunities and diversification benefits. **2) Oil and food inflation** will be a key swing factor for growth, earnings and margins, with the Philippines, Thailand and Indonesia most vulnerable. El Niño adds a further layer of risk, with ASEAN equities underperforming by 7% on average during past cycles. **3) While** the bulk of the tightening cycle is likely behind us, **higher-for-longer rates** remain a headwind. Philippines is the most sensitive to US rates, while local rates matter more for Indonesia. **4) Policy and political uncertainty** are key overhangs for Indonesia and the Philippines, while election-related risks are building in Malaysia. **5) Value-up** initiatives in Singapore, Malaysia and Thailand could create scope for a sustained re-rating.

How are we positioned within ASEAN?

Our ASEAN market ratings are based on the [EM & APAC Equity strategy framework](#). We are **overweight Malaysia and Vietnam**, where supportive structural and policy catalysts outweigh overall macro risks. Malaysia benefits from a stable macro backdrop and re-rating potential from [MY Value Up](#) as well as tech-related opportunities, despite emerging election risk. Vietnam remains the premier growth market, with ongoing reforms and potential index inclusion catalysts. We are **neutral Singapore and Thailand**. Singapore's capital market reforms, safe-haven characteristics and [structural demand drivers](#) particularly in banking and tech support resilience. Thailand offers recovery potential through tourism and domestic policy support offset by continued macro challenges. We are **underweight Indonesia and Philippines**, where policy uncertainty, earnings risks and macro pressures continue to outweigh attractive valuations. [Figure 15](#) presents our preferred stocks across ASEAN markets.

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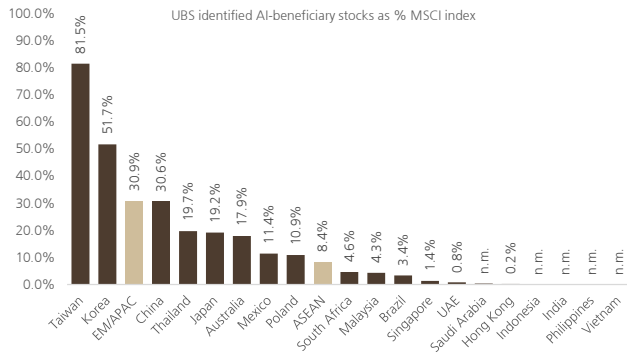
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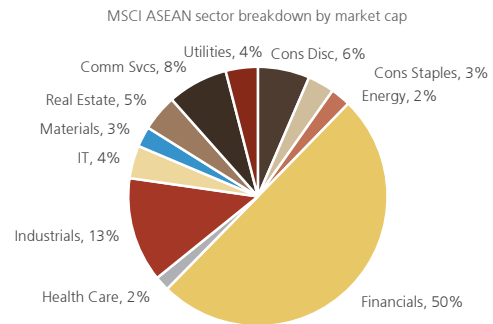
ASEAN AT A GLANCE

Figure 1: ASEAN markets have been largely overlooked due to limited exposure to large-scale AI beneficiaries



Source: UBS

Figure 2: While IT only accounts for 4% of MSCI ASEAN, it has driven 25% of returns YTD



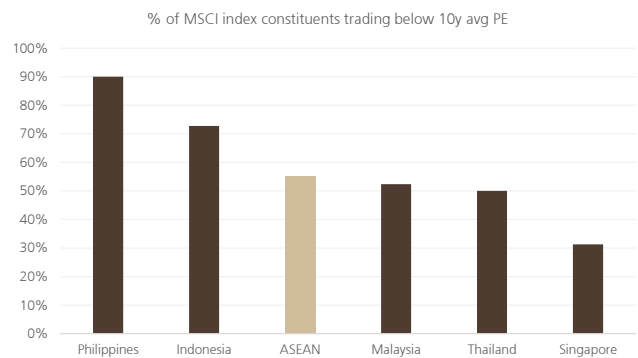
Source: IBES, MSCI, Datastream

Figure 3: ASEAN valuations are largely skewed by a handful of index heavyweights



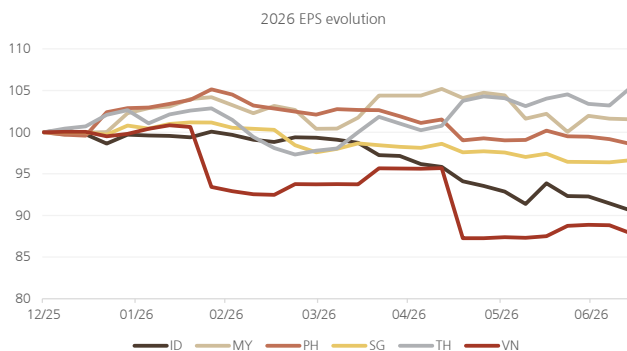
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 4: 55% of MSCI ASEAN stocks are trading below their respective 10y average valuations



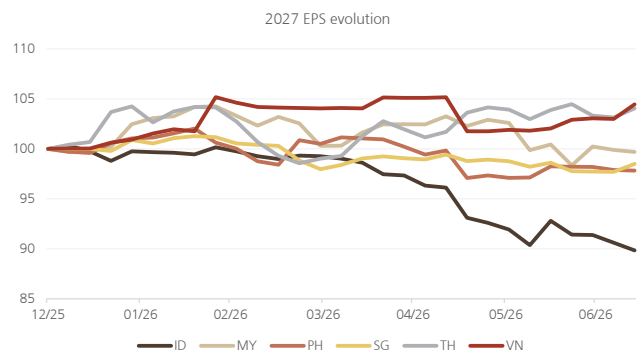
Source: IBES, MSCI, Datastream

Figure 5: 2026 EPS evolution: Downgrades across the region, except for Thailand and Malaysia



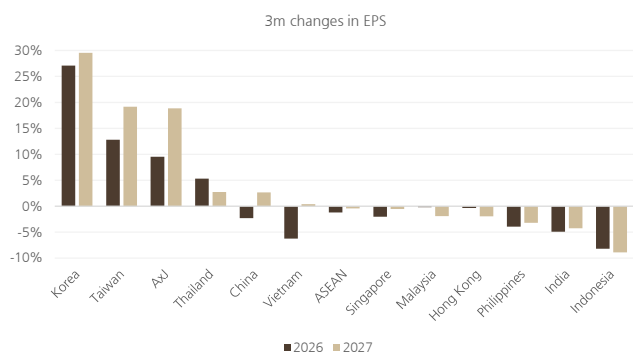
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 6: 2027 EPS evolution: Thailand is seeing upgrades, alongside Vietnam amid big 2026 cuts



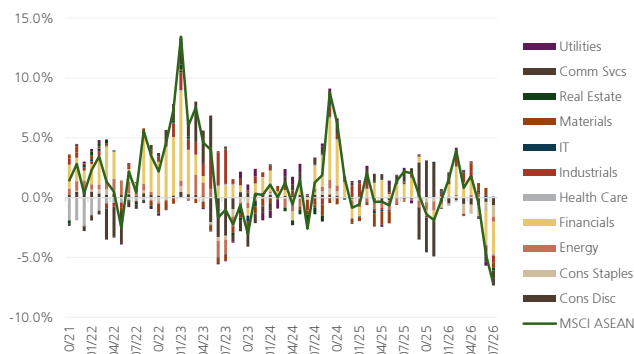
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 7: EPS revisions were strongest in Korea and Taiwan, with Thailand also seeing modest upgrades. The rest of the region generally saw downgrades



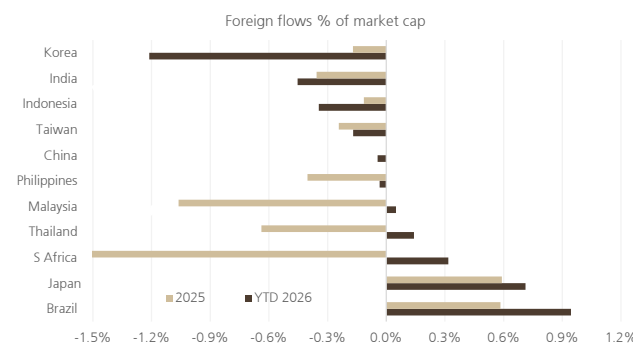
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 8: EPS momentum by sector contribution: Financials, which account for 50% of MSCI ASEAN, are leading downgrades, followed by consumer staples



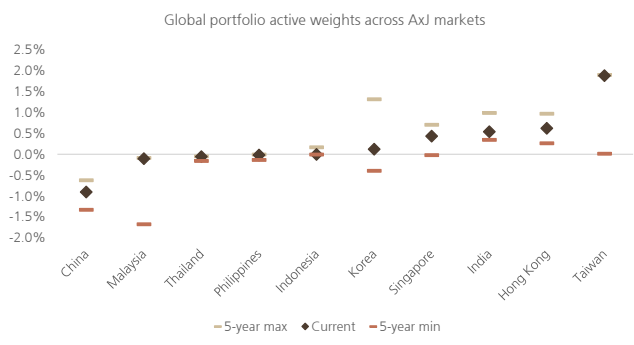
Source: IBES, MSCI, Datastream, UBS

Figure 9: Within ASEAN, foreigners are net buyers of Thailand and Malaysia and net sellers of Indonesia and Philippines



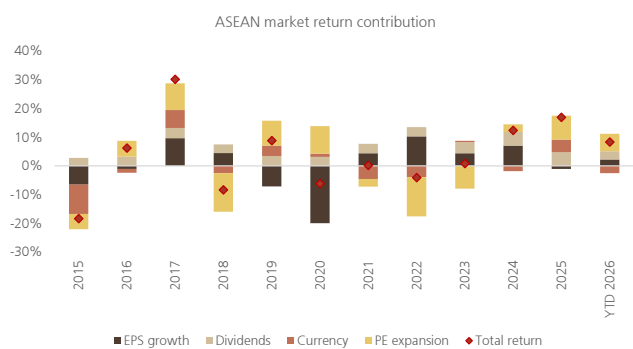
Source: Bloomberg, UBS

Figure 10: Global funds are overweight Singapore, while the rest of ASEAN are largely at benchmark as of 1Q26



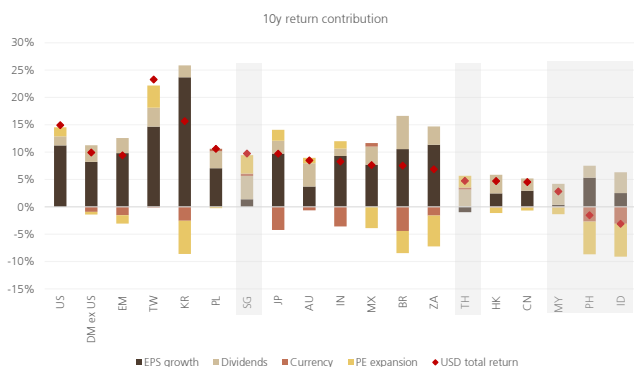
Source: Bloomberg, MSCI, Datastream, UBS

Figure 11: ASEAN total return attribution: PE expansion has been the primary driven of total returns since 2025, followed by dividends and currency



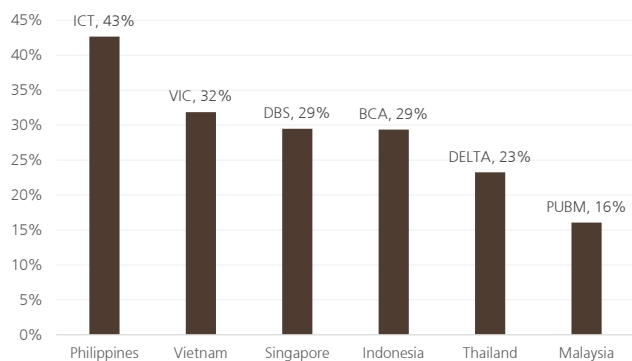
Source: IBES, MSCI, Datastream, UBS

Figure 12: But over the last 10 years, EPS growth has been the biggest driver of returns, followed by PE expansion



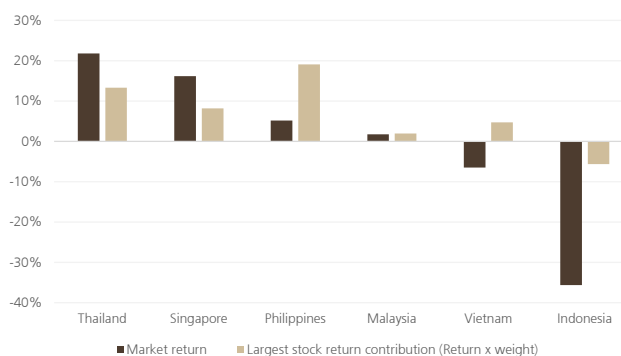
Source: IBES, MSCI, Datastream, UBS

Figure 13: Similar to broader regional trends, ASEAN markets have high concentration at the single-stock level



Source: IBES, MSCI, Datastream. Note: based on free-float adjusted market cap

Figure 14: Excluding Indonesia, over 50% of YTD returns in each market were driven by the single largest stock



Source: IBES, MSCI, Datastream. Note: based on free-float adjusted market cap

Figure 15: Our preferred stocks in ASEAN

		RIC	Mkt Cap (US\$ bn)	Price (LC)	Price Target (LC)	P/E (x) 2026E 2027E	P/BV (x) 2026E 2027E	Div yield (%) 2026E 2027E	EPS growth (%) 2026E 2027E
BCA	ID	BBCA.JK	43.1	6275.0	7150.0	13.3 12.8	2.6 2.4	5.4 5.4	0.6 4.0
AIS	TH	ADVANC.BK	33.2	376.0	400.0	21.4 20.3	19.5 18.2	4.5 4.9	13.4 5.4
Gulf Development	TH	GULF.BK	29.2	66.0	82.0	29.4 27.1	3.0 2.8	2.2 2.4	16.6 8.4
ST Engineering	SG	STEG.SI	25.6	10.6	12.6	31.6 25.6	11.0 9.2	1.9 2.1	126.1 23.3
Tenaga	MY	TENA.KL	20.4	14.4	17.0	17.0 16.1	1.6 1.6	3.8 4.0	19.3 5.9
CIMB Group	MY	CIMB.KL	20.3	7.7	9.2	10.5 9.8	1.1 1.1	6.1 6.2	0.0 6.8
Jardine Matheson	SG	JARD.SI	18.7	63.6	80.0	12.2 10.1	0.7 0.6	3.9 4.1	-9.0 21.2
Kasikornbank	TH	KBANK.BK	16.9	240.0	255.0	11.3 11.7	1.0 0.9	5.8 5.5	1.5 -3.6
Amman	ID	AMMN.JK	16.3	4040.0	6100.0	19.6 10.7	2.6 2.1	0.0 0.0	242.7 78.5
Telkom Indonesia	ID	TLKM.JK	14.5	2630.0	3400.0	12.0 10.7	2.0 1.9	8.1 8.1	-3.8 11.5
True Corp	TH	TRUE.BK	14.3	14.0	19.3	19.0 17.8	5.9 5.5	3.9 4.2	33.3 7.0
CP All	TH	CPALL.BK	12.3	46.5	61.0	13.7 12.4	2.7 2.4	3.4 3.7	7.6 10.4
Meralco	PH	MER.PS	10.9	600.0	750.0	13.5 12.3	3.6 3.2	4.8 4.9	-2.2 9.6
Banco de Oro	PH	BDO.PS	10.6	123.0	180.0	7.7 6.5	1.0 0.9	3.7 4.1	-2.5 17.8
Petronas Chemicals	MY	PCGB.KL	9.6	4.9	6.9	21.2 23.6	1.1 1.0	2.6 2.3	-269.2 -10.1
Bangkok Dusit	TH	BDMS.BK	8.9	18.9	23.0	19.1 17.7	2.8 2.7	4.5 4.9	-0.7 7.6
BPI	PH	BPI.PS	8.8	102.5	145.0	8.3 7.1	1.1 1.0	4.9 4.8	-1.9 16.8
TECHCOMBank	VN	TCB.HM	7.7	28600.0	45000.0	7.2 5.6	1.1 1.0	2.5 5.6	10.7 29.0
HPG	VN	HPG.HM	6.7	20800.0	31500.0	8.8 6.8	1.1 0.9	0.5 1.3	32.2 28.7
UOL Group	SG	UTOS.SI	6.2	9.4	12.7	16.8 12.7	n/a n/a	2.1 2.3	20.6 31.8
City Developments	SG	CTDM.SI	5.2	7.5	11.6	15.2 13.3	n/a n/a	2.7 2.7	-39.1 14.1
Asia Commercial Bank	VN	ACB.HM	4.4	22500.0	36000.0	6.1 4.9	1.1 0.9	3.1 5.0	21.3 23.8
Mobile World	VN	MWG.HM	3.8	68000.0	118000.0	11.9 10.6	3.2 3.0	1.8 2.0	18.4 12.5
Mr D.I.Y.	MY	MRDI.KL	3.7	1.6	2.15	21.1 18.8	8.0 8.0	5.7 5.3	11.7 11.8
Alamtri Minerals	ID	ADMR.JK	3.4	1480.0	2500.0	n/a n/a	n/a n/a	n/a n/a	n/a n/a
Vale Indonesia	ID	INCO.JK	2.7	4870.0	8400.0	11.2 6.2	0.9 0.8	1.1 3.7	224.3 75.2
Jollibee	PH	JFC.PS	2.6	144.0	220.0	16.0 11.1	1.9 1.7	2.3 3.3	-4.2 44.1
Maynilad	PH	MYNLD.PS	2.3	19.5	25.5	8.7 8.6	1.2 1.1	5.8 6.4	-13.3 1.7
AEM Holdings	SG	AEM.SI	2.2	9.0	16.0	38.5 22.9	5.1 4.3	0.5 0.9	332.9 68.3
Cimory	ID	CMRY.JK	2.0	4580.0	6800.0	16.1 13.1	4.9 4.3	4.4 4.9	12.3 23.0
Monde Nissin	PH	MONDE.PS	2.0	6.7	8.4	10.9 10.4	2.0 1.9	8.9 6.9	13.7 4.9
Vincom Retail	VN	VRE.HM	1.9	21900.0	41100.0	9.0 8.3	n/a n/a	4.6 0.0	-13.8 8.0
Kelington Group	MY	KELG.KL	1.5	8.0	9.0	34.2 26.8	8.4 7.4	1.7 2.1	10.4 27.7
Gemadep	VN	GMD.HM	1.2	73200.0	92000.0	15.3 14.5	2.3 2.2	4.6 4.8	19.7 5.5
FPT Retail	VN	FRT.HM	0.7	107800.0	200000.0	18.1 14.1	3.7 3.0	1.1 1.4	27.9 27.7
Nam Long Investment	VN	NLG.HM	0.4	21350.0	37000.0	11.7 12.2	n/a n/a	4.7 4.7	13.6 -4.4

Source: UBS estimates. Note: Sorted by market cap. Pricing data as of 24 July 2026.

Key themes

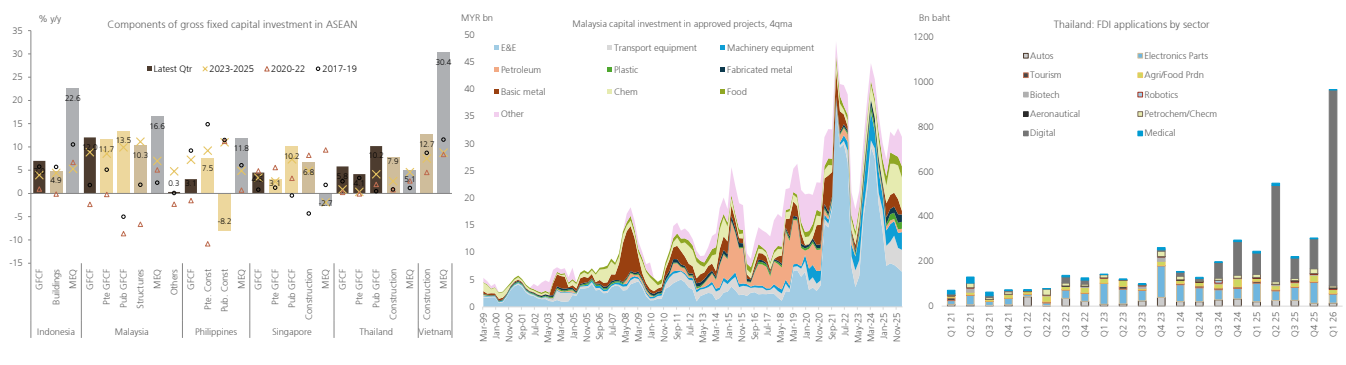
We believe five key themes could shape ASEAN markets for the rest of the year.

1. The AI (and anti-AI) trade

Over the last three years, ASEAN markets have lagged regional peers as investors favoured markets with stronger exposure to the AI investment cycle, largely concentrated in North Asia. While ASEAN has seen increasing investments driven by the tech upcycle, equity markets remain more closely tied to domestic growth drivers such as financials, industrials and consumption. With AI-related holdings becoming increasingly concentrated, investors are starting to diversify into areas which are less correlated with the AI theme. This could support renewed interest in ASEAN equities, as investors look to broaden allocations.

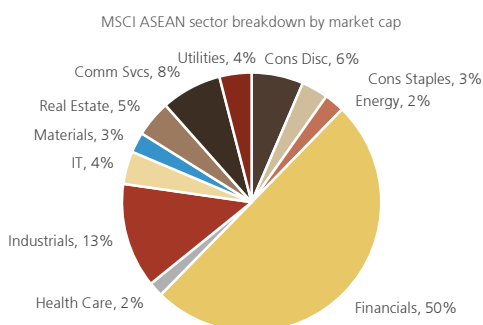
At the same time, we continue to view AI as a key theme in 2026. As the AI cycle now extends beyond tech into the supporting infrastructure supply chain—including data centers, power and materials—ASEAN still offers some opportunities. While exposures are uneven across the markets, Thailand is relatively well-positioned due to Delta Thailand, while Malaysia and Singapore also offer some exposure. As such, we think ASEAN may benefit not only from diversification flows from more crowded AI trades, but also from selective exposures in the AI supply chain.

Figure 16: The tech upcycle has led to an investment upcycle in ASEAN, particularly for Malaysia and Thailand



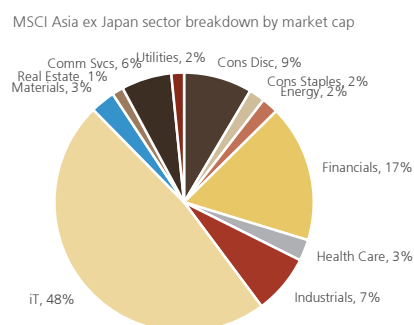
Source: UBS. Notes: (1) MEQ refers to machinery & equipment investment. For Vietnam, construction in GVA is used as a proxy for construction GFCF; capital goods imports is used as a proxy for MEQ. All data in constant prices. (2) For Thailand, investments in the Digital sector are mostly from large data centers.

Figure 17: MSCI ASEAN is dominated by domestic and traditional sectors such as financials (50%), industrials (13%) and consumer (9%)



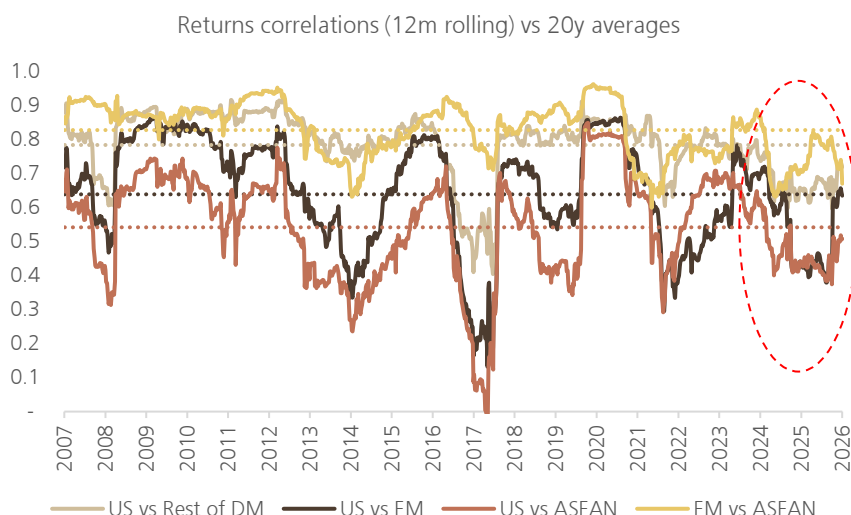
Source: MSCI, Datastream, UBS

Figure 18: Tech now accounts for 48% of MSCI Asia ex Japan, benefitting from stronger AI exposure, compared to only 4% in ASEAN



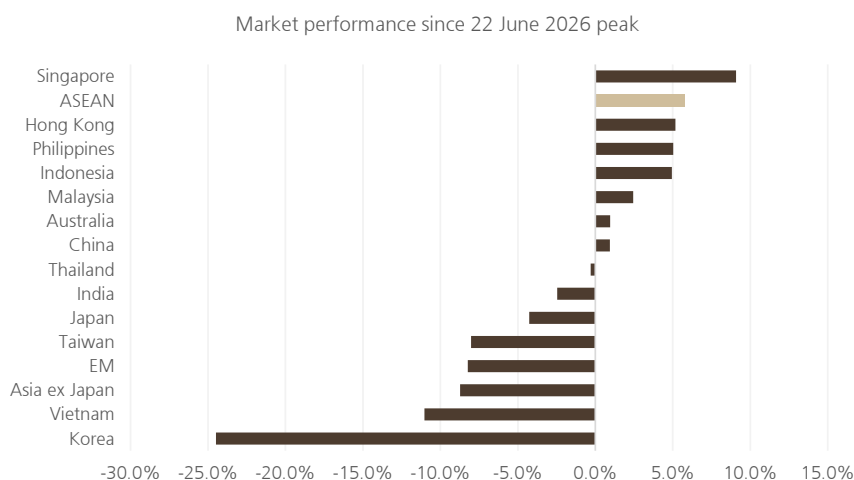
Source: MSCI, Datastream, UBS

Figure 19: ASEAN offers better diversification to US (and broader EM) equities



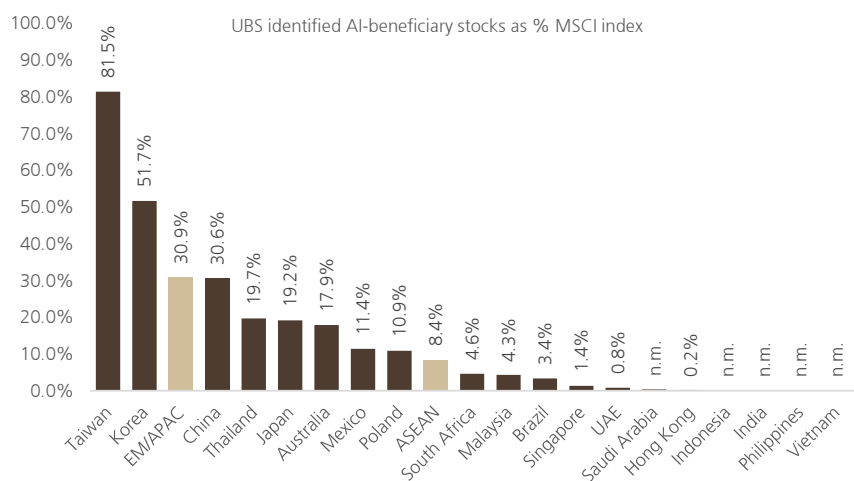
Source: MSCI, Datastream, UBS

Figure 20: MSCI returns since KOSPI's 22 June 2026 peak



Source: MSCI, Datastream, UBS

Figure 21: AI revenue exposure



Source: UBS

As we've highlighted [here](#), EM equities have historically provided diversification from US equities. But as AI-related stocks have come to dominate EM, EM return drivers have become increasingly aligned with those of the US. ASEAN has traditionally been highly correlated with EM, but that has since weakened in the last two years. As a result, ASEAN now offers better diversification not only relative to US equities, but also within EM itself.

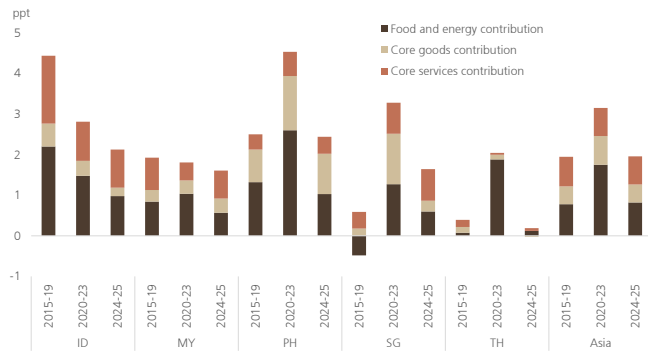
Since KOSPI peaked on 22 June 2026, ASEAN markets have generally outperformed broader EM and Asia. This supports the region's potential as a diversification trade.

Nevertheless, we believe AI will remain the dominant driver of returns. ASEAN may benefit not only from AI diversification, but also from selective exposures in the AI supply chain. We worked with UBS analysts to identify stocks that see potential incremental upside of at least 15% over the next 3-5 years. Overall, these account for 31% of EM/APAC led by North Asia, although select ASEAN markets not too far behind.

2. Inflation risk

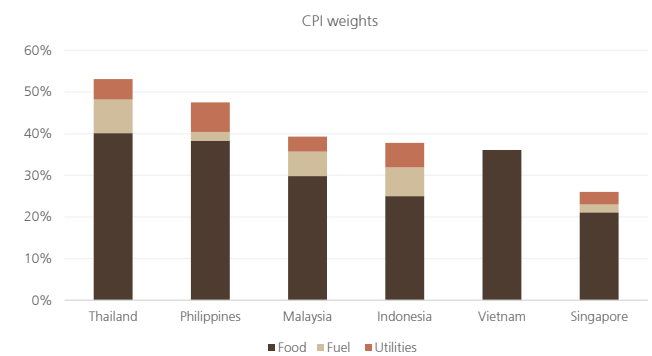
Broad-based growth slowdown and rising inflation create a challenging set-up for ASEAN equities. Risks around Middle East oil flows remain unresolved, but any easing could provide some relief, although longer tail risks from weather-related disruptions due to a likely strengthening El Niño remain. This could be a drag on already below-trend economic growth. Within ASEAN, Indonesia, Philippines, Vietnam and Thailand are particularly vulnerable.

Figure 22: Headline inflation by contribution: Philippines has historically been among the most sensitive to food and energy inflation



Source: CEIC, UBS estimates

Figure 23: Thailand, Philippines and Vietnam are the most exposed to food inflation by CPI weight. Including fuel and utilities, Thailand and Philippines are most vulnerable



Source: CEIC, government & central bank websites, UBS

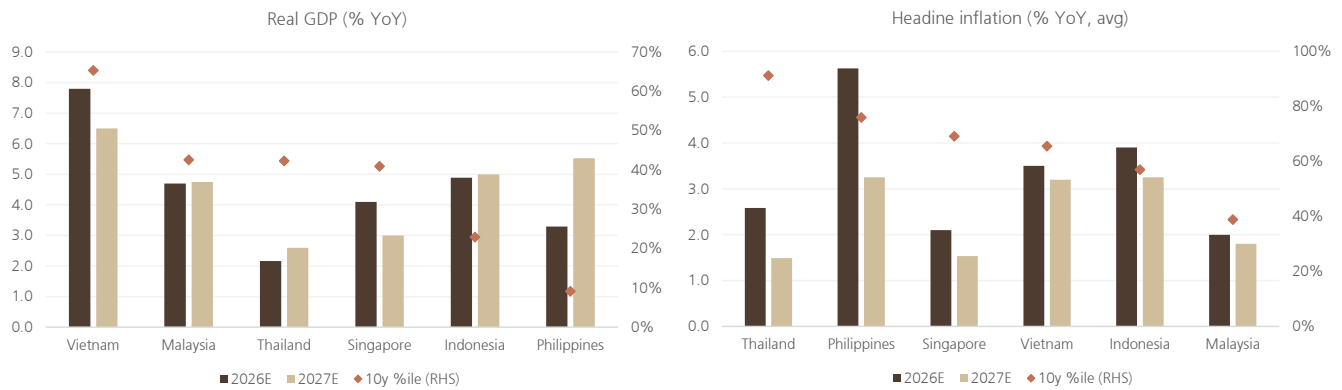
Figure 24: ASEAN GDP growth vs inflation forecasts vs 10y history (%ile rank)



Source: UBS

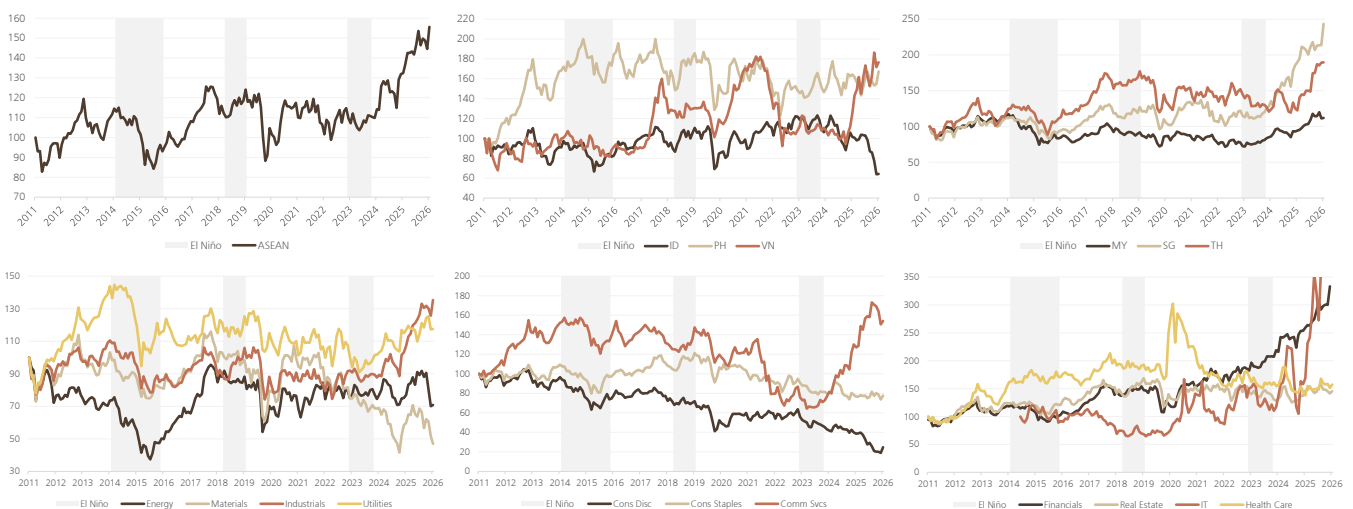
Growth across ASEAN are at the 50th percentile vs 10y trend, with the exception of Vietnam, whereas inflation are above the 50th percentile, with the exception of Malaysia thanks to fuel subsidies. Philippines looks most vulnerable, with 2026-27E average GDP growth at the 9th percentile, whereas inflation is at the 76th percentile. Thailand's growth also sits in the 42nd percentile, while inflation is at the higher end of its 10y trend.

Figure 25: Real GDP growth and headline inflation forecasts



Source: Haver, CEIC, National Statistics, UBS forecasts

Figure 26: ASEAN indices performance around El Niño phases (2014-16, 2018-19 & 2023-24)



Source: MSCI, Datastream, UBS

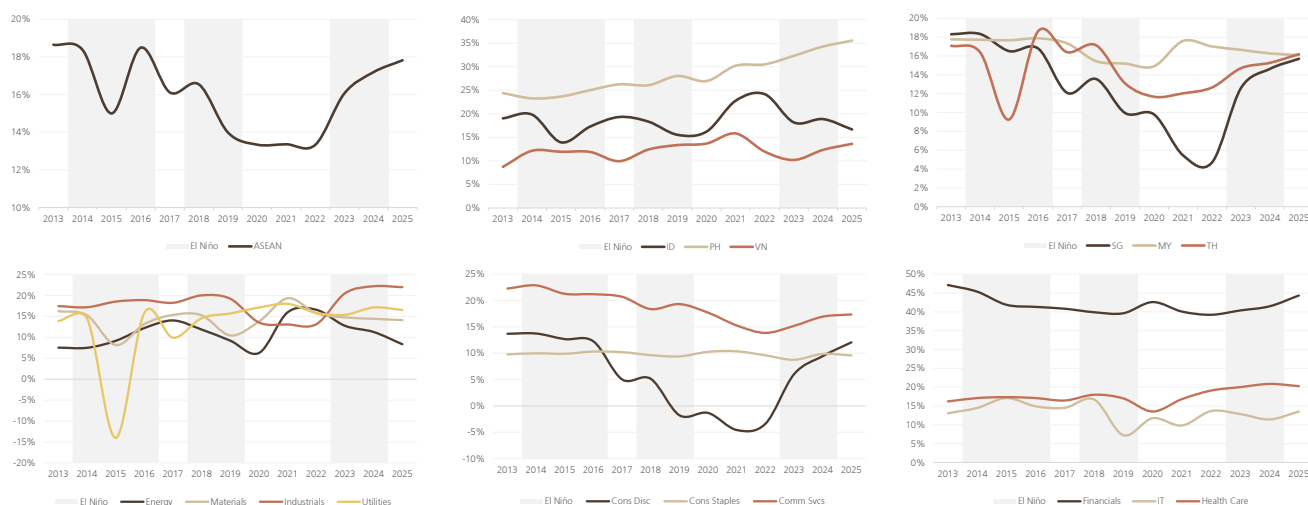
Figure 27: Average relative returns around Super El Niño (2014-16 & 2023-24)

	-6m	-3m	-1m	Super El Niño	+1m	+3m	+6m
Indonesia	1.3%	7.7%	0.6%	-11.2%	-1.1%	0.3%	-5.0%
Malaysia	-6.3%	-2.2%	-0.8%	-7.8%	1.3%	-1.9%	-6.7%
Philippines	2.8%	2.8%	1.4%	3.8%	-3.8%	-6.2%	-11.7%
Singapore	-0.7%	0.9%	-0.7%	-4.2%	1.4%	-3.4%	0.3%
Thailand	2.6%	4.1%	2.4%	-13.7%	-2.1%	-1.5%	1.5%
Vietnam	-1.5%	6.1%	1.7%	-7.5%	0.4%	-5.6%	-12.6%
MSCI ASEAN	-0.8%	2.1%	0.2%	-8.2%	-0.2%	-2.3%	-3.2%
Average	-0.3%	3.2%	0.8%	-6.7%	-0.7%	-3.1%	-5.7%
Cons Disc	-3.0%	-2.4%	-2.6%	-13.1%	1.8%	-3.0%	-5.3%
Cons Staples	-3.7%	-1.7%	0.4%	-2.1%	-0.1%	-0.5%	-0.3%
Energy	-7.7%	-3.1%	-1.8%	-5.9%	-0.7%	3.0%	6.2%
Financials	2.7%	2.5%	1.4%	5.7%	-0.7%	0.5%	1.4%
Health Care	10.8%	6.4%	-0.1%	6.2%	-1.7%	-4.0%	-0.6%
Industrials	1.8%	-0.3%	0.9%	-1.5%	-1.5%	-5.0%	-4.9%
Materials	-9.2%	-6.3%	-1.1%	-2.3%	0.3%	-2.9%	-11.0%
Real Estate	-4.9%	-4.2%	-1.3%	2.6%	1.5%	0.5%	-1.6%
Comm Svcs	-0.5%	-2.0%	-4.8%	0.3%	3.1%	3.7%	7.2%
Utilities	-2.6%	-1.9%	-0.5%	-2.6%	0.9%	-0.3%	-4.7%

Source: MSCI, Datastream, UBS. Note: Market returns are relative to MSCI Asia ex Japan, while sector returns are relative to MSCI ASEAN.

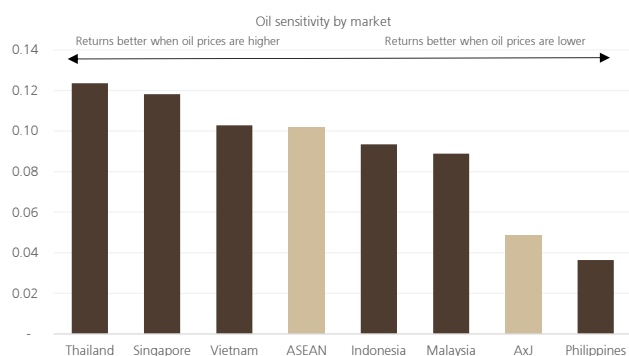
During the Super El Niño cycles in 2014-16 (the second strongest on record) and 2023-24, ASEAN markets underperformed by an average of 7% during El Niño (from the start until the end of the cycle). During these two instances, Thailand and Indonesia lagged the most. Philippine equities surprisingly looked through it during the El Niño period, but underperformed 1-6 months thereafter. Within sectors, consumer discretionary had the biggest underperformance.

Figure 28: EBIT margin trends across El Niño phases have been mixed. ASEAN margins deteriorated in 2014-16 and 2018-19 but expanded in 2023-24 on post-pandemic reopening. Indonesia and Thailand saw greater margin volatility, while Singapore was weighed by internet names. Consumer discretionary margins declined toward the latter part of 2014-16 and again in 2018-19, while consumer staples remained relatively resilient.



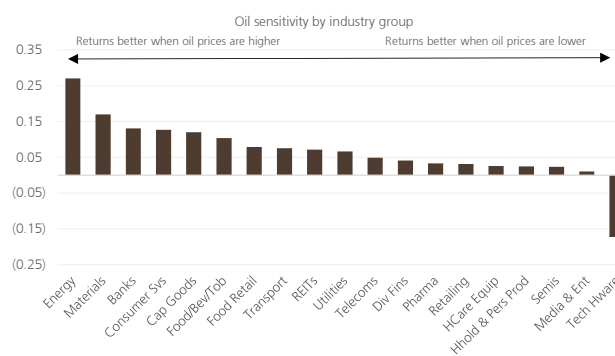
Source: Company data, UBS. Note: Based on UBS coverage aggregated using free-float adj market caps.

Figure 29: A de-escalation in the Middle East conflict could see markets that have been sold off and rely heavily on oil flows from the region rebound as oil prices ease, led by Philippines, Malaysia and Indonesia



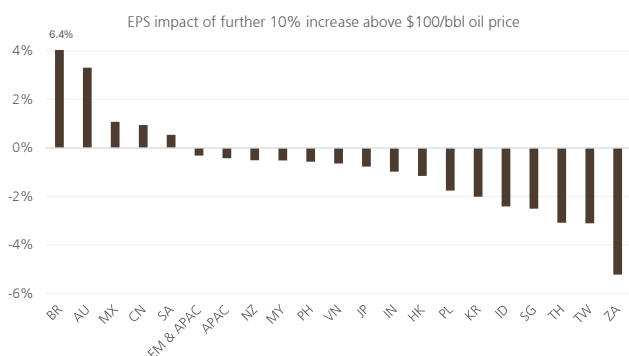
Source: MSCI, Datastream, UBS

Figure 30: In such a scenario, sectors that are sensitive to oil dynamics should recover, including ASEAN consumer and airlines on the back of lower oil prices



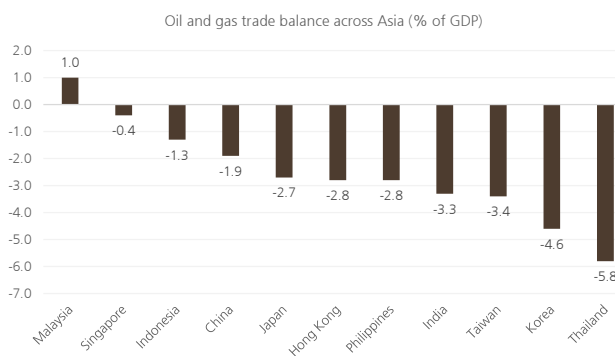
Source: MSCI, Datastream, UBS

Figure 31: If oil prices stay at \$100/bbl, a further 10% increase presents higher downside risks to Thailand, Singapore and Indonesia earnings



Source: UBS estimates

Figure 32: In ASEAN, Thailand and Philippines are most vulnerable as the biggest net exporters of oil and gas, while Malaysia is more resilient

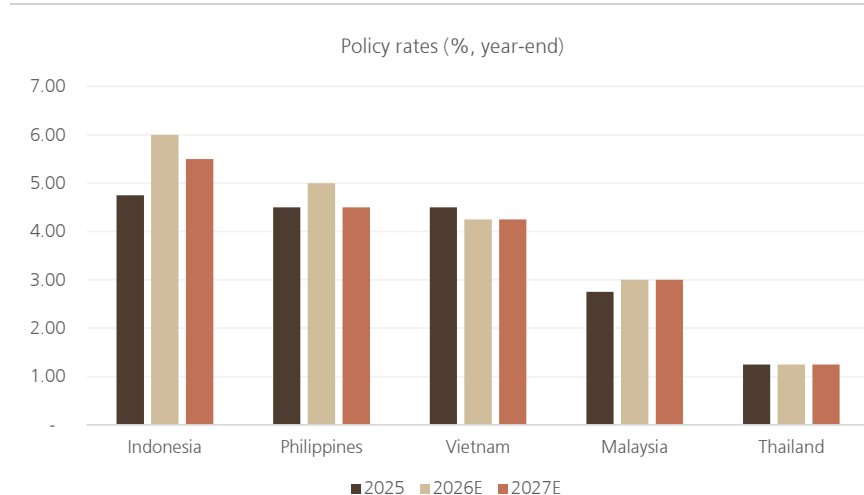


Source: Haver, CEIC, UBS

3. Higher-for-longer rates

With elevated inflation risks in the region, central banks have been relatively more hawkish, particularly in Indonesia and Philippines. We expect the bulk of the tightening in this cycle is already done, assuming oil prices and upside risks to inflation fall back as risks around the Middle East ease. Similarly, UBS expects the FOMC to remain on hold until June 2027, given rising inflation expectations. ASEAN equities typically see negative returns when bond yields rise and are more sensitive to changes in real yields than nominal yields. Philippines is the most sensitive to US yields on its exposure to external financing, while Indonesia is the most sensitive to its respective local bond yield.

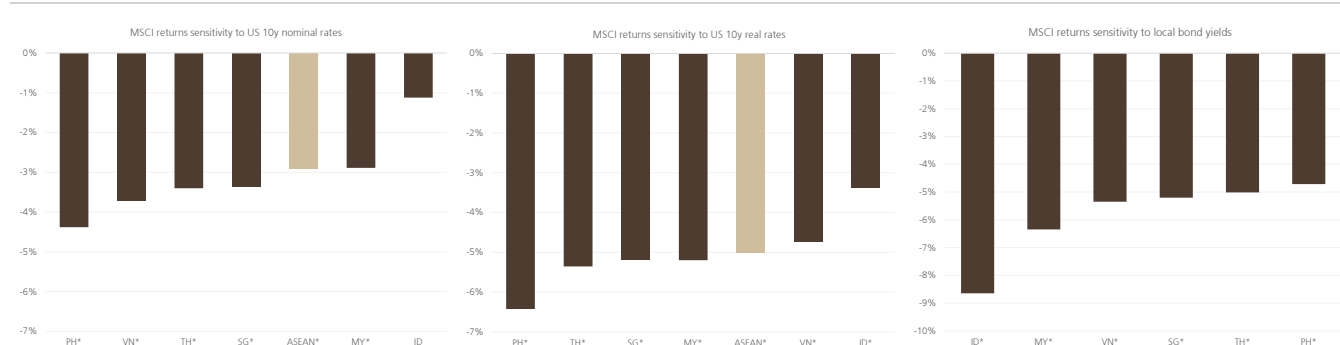
Figure 33: Changes in policy rates



Bank Indonesia (BI) has tightened by a total of 100bp so far this year, with potentially one more hike in August. The Bangko Sentral ng Pilipinas (BSP) also raised its policy rate by 50bp so far this year and we expect another hike in Q3. We expect the Bank of Thailand (BoT) to remain on hold before hiking in December to begin normalising its still-accommodative stance. We also now expect Bank Negara Malaysia (BNM) to hike in November 2026.

Source: CEIC, UBS. Note: Indonesia (7-day reverse repo rate); Philippines (repo rate); Vietnam (refinancing rate); Malaysia (overnight policy rate); Thailand (1 day repo rate)

Figure 34: MSCI returns sensitivity to US nominal and real yields, and respective local bond yields



Source: MSCI, Datastream, UBS. Note: (*) statistically significant relationship at 5% p-value level.

4. Policy and political uncertainty

Across ASEAN, shifts in policy and political dynamics often play an outsized role in driving market performance, influencing investor sentiment, reform trajectories and the broader economic outlook.

Indonesia has been weighed by concerns around government policies and execution, resulting in subdued investor sentiment. Recent policy backtracking involving the mining sector, including the export centralisation initiatives and RKAB quota, should help improve the investment climate. While fiscal slippage is risk, recent signals suggest the government is prioritizing [fiscal discipline](#). The scaling back of the free lunch programme, with further cuts expected this year, provide greater fiscal room.

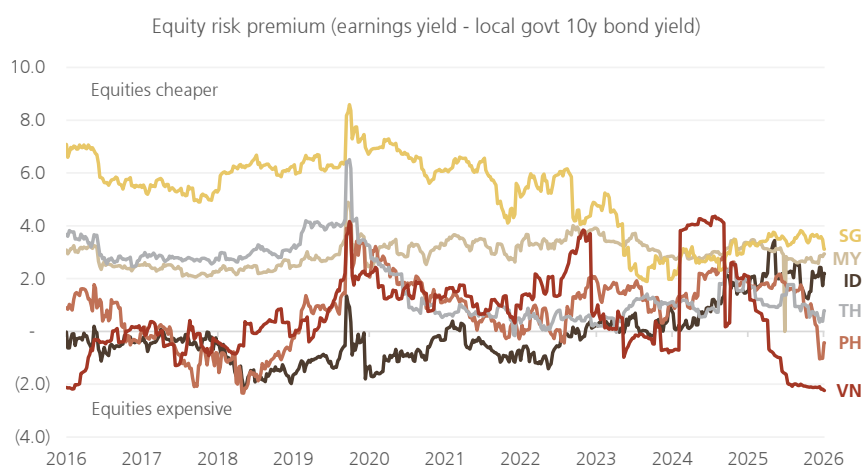
In the **Philippines**, we expect political uncertainty to remain heightened in H226, with flood control investigations over the next 6-8 months and the VP impeachment trial outcomes as key signposts. Against a backdrop of below-trend growth and [elevated](#)

[inflation](#), fiscal room for countercyclical support exists, although persistent political uncertainty could weigh on policy execution. Signs of greater political stability, in turn, should support governing durability, which could facilitate reforms and underpin a more sustained growth recovery.

While the next general election is not due until early 2028, **Malaysia** is increasingly heading into the pre-election cycle. Election-related uncertainty could affect market sentiment, with [local equities typically underperforming](#) one month before elections and seeing net foreign selling. We see policy- and regulatory-sensitive sectors such as construction, property and telcos lagging sharply, particularly during disruptive election outcomes. Investors remain focused on cost-of-living pressures, subsidy costs and oil price risks ahead of GE16, but the [macro backdrop remains resilient](#)—growth is more balanced and inflation remains benign, with modest fiscal space for targeted transfers.

In **Thailand**, political conditions have become more stable following the February 2026 election, marking a shift from a period of political uncertainty and leadership changes. This should support policy continuity, improve investor confidence and provide a more stronger backdrop for economic recovery.

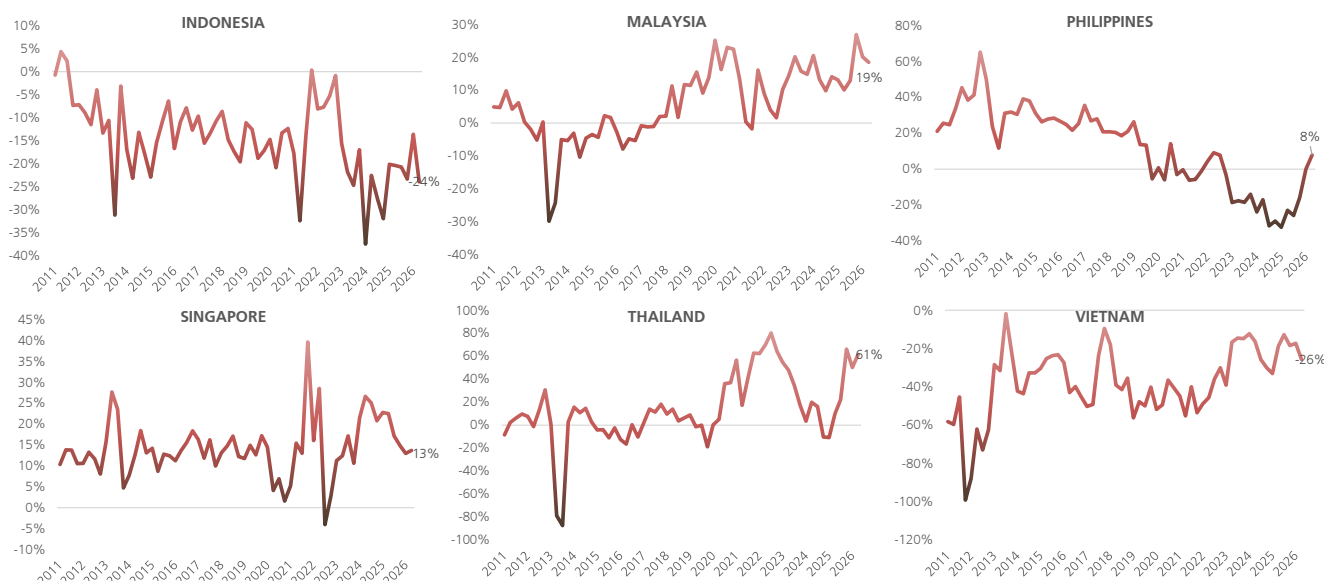
Figure 35: Equity risk premium (earnings yield - local bond yield)



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Based on our equity risk premium proxy using EY-BY spreads, **Indonesia equities are screening as inexpensive**, as the market may have priced in rising political uncertainty. While investors have likewise been concerned around political stability in the Philippines, it is close to most expensive levels, mainly driven by index heavy-weight ICTSI. For **Malaysia**, its risk premium is close to its 10y average, implying that the market has yet to meaningfully reflect election-related risks. **Thailand** has re-rated, likely reflecting a more stable political environment.

Figure 36: Valuation perception: Indonesia is at a significant discount vs historical average. Thailand is close to peak levels, Malaysia may be starting to reflect election risk, and Philippines has recovered from its lows closer to its 15y average.



Source: IBES, MSCI, Datastream, UBS. Note: Perception premium explained [here](#).

5. Value-up and capital market reforms

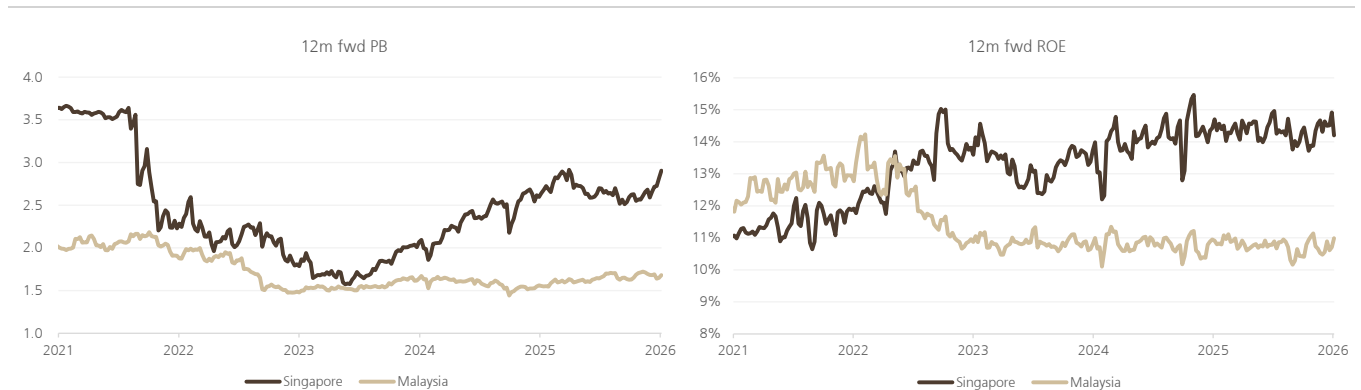
Following similar initiatives in North Asia, ASEAN markets have begun rolling out their own value-up programmes to revive investor interest and address valuation discounts. ASEAN regulators have leaned towards incentives, guidance and market-based mechanisms rather than mandates. While the approaches differ across markets, a common focus is on strengthening corporate governance—including accountability, transparency and disclosure standards—and improving capital allocation and efficiency. If successfully implemented, and combined with policy-supported investor flows, these value-up programmes could help lift corporate returns (ROE/ROIC) over time and act as a meaningful catalyst for a valuation re-rating.

In 2025, **Singapore** launched the Equity Market Development Programme (EQDP) and the Value Unlock initiative. EQDP channels S\$6.5bn of capital through asset managers to improve market liquidity, broaden the investor base and support quality listings, particularly among small- and mid-cap stocks. Meanwhile, Value Unlock provides grants and advisory support to help undervalued companies enhance shareholder value by refining corporate strategy and communication, optimising capital allocation and improving investor engagement.

Thailand also launched Corporate Value Up and Jump+ which aim to improve corporate visibility, strengthen market discipline and restore investor confidence. The Corporate Value Up program emphasises governance, transparency and value-enhancement strategies, while Jump+ encourages companies to disclose three-year growth plans and provide regular progress updates.

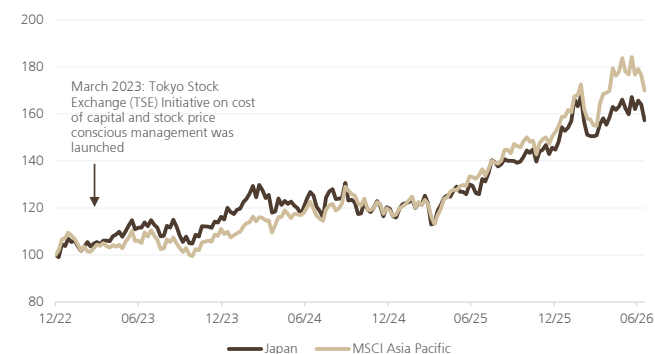
Malaysia followed suit with the launch of MY Value Up programme, targeting 88 of its largest listed companies, which represent ~80% of Bursa Malaysia's market cap. This seeks to encourage companies to effectively communicate long-term growth strategies, enhance disclosures and deepen shareholder engagement. Following the release of the MY Value-Up Programme Guidebook this year, companies could start publicly disclosing their value-up plans by 2027. To reinforce the initiative, government linked investment companies (GLICs) are encouraged to channel capital towards companies that demonstrate such efforts.

Figure 37: PB vs ROE: Singapore has re-rated alongside the improvement in ROEs since 2023, while Malaysia has been relatively steady



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 38: Japan built on its earlier governance reforms—TSE called on listed companies to improve capital efficiency and shareholder value in March 2023, with MSCI Japan outperforming the region by 14% in the following 12 months



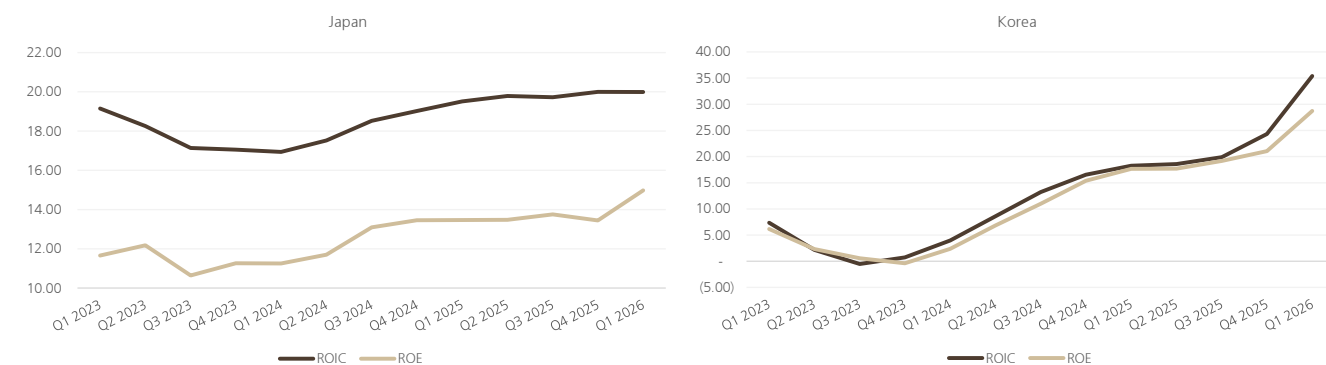
Source: MSCI, Datastream, UBS

Figure 39: Korea launched the Corporate Value-Up Program in February 2024, following Japan's experience as it aims to address the long-standing 'Korea discount.' But due to its voluntary nature and political uncertainty, it did not drive an immediate broader market re-rating



Source: MSCI, Datastream, UBS

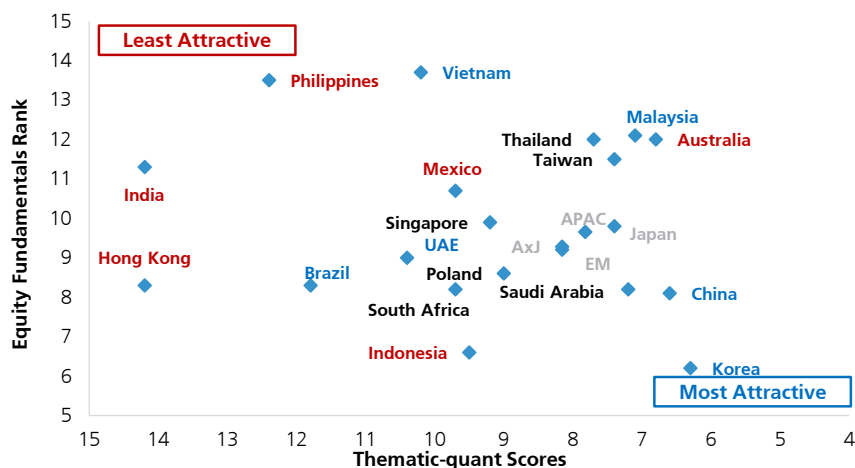
Figure 40: Japan delivered steady improvement in ROE and ROIC since TSE's initiative was launched. Korea saw a significant jump over the last two years, albeit largely driven by the memory upcycle



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Our market views

Figure 41: UBS EM & APAC market ratings scorecard



Source: UBS

Figure 42: EM & APAC markets themes scorecard

	Theme #1 - AI revenue exposure (20% weight)	Rank	Theme #2a - Oil price sensitivity (10% weight)	Rank	Theme #2b - Higher-for-longer rates (10% weight)	Rank	Theme #3 - Macro growth shifts (20% weight)	Rank	Theme #4 - UBS ratings bottom-up vs. 5y history (%ile, 20% weight)	Rank	Theme #5 - Narrative compass (20% weight)	Rank	AVERAGE RANK
Korea	51.2%	2	0.08%	12	-9.3%	19	1.31	5	81%	3	0	6	+6.3
China	31.3%	3	0.06%	15	-2.8%	1	1.54	3	38%	13	0	6	+6.6
Australia	18.7%	6	0.15%	5	-7.5%	17	2.33	1	81%	3	-1	13	+6.8
Malaysia	4.1%	10	0.09%	11	-5.0%	10	1.47	4	52%	10	1	1	+7.1
Saudi Arabia	0.4%	14	0.23%	2	-3.2%	2	-0.01	7	76%	7	0	6	+7.2
Taiwan	81.5%	1	0.06%	14	-7.5%	16	-1.21	13	95%	2	0	6	+7.4
Japan	19.6%	5	0.06%	16	-7.0%	14	-0.23	10	100%	1	0	6	+7.4
Thailand	22.3%	4	0.13%	8	-5.8%	11	-2.11	16	67%	8	1	1	+7.7
Poland	12.6%	7	0.18%	3	-6.8%	13	-0.20	9	24%	15	0	6	+9.0
Singapore	1.4%	12	0.13%	9	-4.0%	3	-0.08	8	5%	19	1	1	+9.2
Indonesia	0.0%	16	0.08%	13	-4.1%	4	1.74	2	67%	8	-1	13	+9.5
Mexico	12.2%	8	0.17%	4	-7.1%	15	-1.97	15	81%	3	-1	13	+9.7
South Africa	4.5%	9	0.13%	7	-8.3%	18	-0.35	11	52%	10	0	6	+9.7
Vietnam	0.0%	16	0.11%	10	-6.0%	12	1.24	6	14%	17	1	1	+10.2
UAE	0.8%	13	0.14%	6	-4.3%	6	-2.43	18	25%	14	1	1	+10.4
Brazil	3.3%	11	0.31%	1	-4.8%	9	-1.52	14	19%	16	-1	13	+11.8
Philippines	0.0%	16	0.05%	18	-4.7%	8	-2.18	17	81%	3	-1	13	+12.4
India	0.0%	16	0.03%	19	-4.2%	5	-0.72	12	10%	18	-1	13	+14.2
Hong Kong	0.3%	15	0.05%	17	-4.3%	7	-3.03	19	48%	12	-1	13	+14.2
Asia ex Japan													+8.2
APAC													+7.8
EM													+8.2

Source: IBES, MSCI, Datastream, UBS

Figure 43: EM & APAC markets fundamentals scorecard

	P/Book relative vs. 10y avg (std dev)	Rank	Fwd P/E relative vs. 10y avg (std dev)	Rank	24m fwd EPS growth vs. 10y avg (std dev)	Rank	Fwd ROE vs. 10y avg (std dev)	Rank	EV/EBITDA spread vs. 10y avg (std dev)	Rank	Valuation perception score (std dev)	Rank	AVERAGE RANK
Korea	1.85	17	-0.91	8	-0.03	6	3.49	1	-0.02	4	-2.78	1	6.2
Indonesia	-2.79	1	-2.32	2	-0.43	9	-0.66	17	2.16	2	-0.95	4	6.6
China	-1.74	4	-1.01	6	-0.23	8	-0.23	16	1.06	3	-0.49	8	8.1
South Africa	-1.34	7	-0.99	7	-1.50	18	2.19	5	2.35	1	-0.50	7	8.2
Saudi Arabia	-1.36	6	-1.57	3	-0.59	12	0.36	15	-0.67	9	-1.60	2	8.2
Hong Kong	-2.40	2	-1.27	4	-1.58	19	0.98	12	-0.60	7	-1.09	3	8.3
Brazil	-2.34	3	-1.13	5	-0.96	16	1.65	9	-0.87	12	-0.74	5	8.3
Poland	0.01	14	-0.73	10	0.06	4	2.04	6	-0.80	10	-0.39	9	8.6
UAE	-0.44	13	-0.46	13	0.66	3	1.52	10	-0.93	13	-0.66	6	9.0
Japan	2.17	18	1.96	17	0.69	2	3.03	2	-2.77	19	-	9	9.8
Singapore	-0.70	11	1.64	16	0.02	5	1.87	8	-1.35	15	-0.15	10	9.9
Mexico	-0.94	10	-0.74	9	-1.19	17	1.93	7	-0.65	8	0.33	11	10.7
India	-1.22	8	-4.81	1	-0.89	15	0.73	13	-0.57	6	1.25	17	11.3
Taiwan	3.19	19	3.30	19	4.18	1	2.44	3	-2.60	18	1.10	16	11.5
Thailand	0.62	15	0.88	15	-0.43	10	2.23	4	-0.87	11	1.40	18	12.0
Australia	-1.20	9	0.09	14	-0.45	11	1.24	11	-1.67	16	0.65	14	12.0
Malaysia	-1.67	5	-0.52	12	-0.77	14	-1.03	18	-0.03	5	0.92	15	12.1
Philippines	1.64	16	-0.59	11	-0.76	13	0.51	14	-1.02	14	0.33	12	13.5
Vietnam	-0.45	12	1.98	18	-0.09	7	-1.07	19	-1.87	17	0.63	13	13.7
Asia ex Japan													9.3
APAC													9.7
EM													9.2

Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Our scorecard is a guide to help rate markets within our broader EM & APAC universe. It consists of 1) thematic factors that change through time depending on what we think could drive markets; and 2) equity fundamentals which take into account earnings and valuation factors.

Our preferences are based on: 1) AI revenue exposure; 2) beneficiaries of higher-for-longer rates and oil prices as energy risks remain; 3) beneficiaries of macro growth shifts; 4) markets where UBS analysts' ratings have a more positive bias; and 5) our narrative compass, which aims to capture idiosyncratic factors that are not fully reflected in the aforementioned themes, as well as earnings and valuations. Within ASEAN, Malaysia and Thailand look better positioned, while Philippines less so.

We also look at a combination of valuation and fundamental factors. We look at 12m fwd PE, PB, ROE, the spread between earnings yield and local bond yields (ERP proxy), 24m fwd EPS growth and our proprietary valuation perception score. Within ASEAN, Indonesia screens most attractive, while Vietnam and Philippines are the least attractive.

Figure 44: UBS EM & APAC market ratings: ASEAN

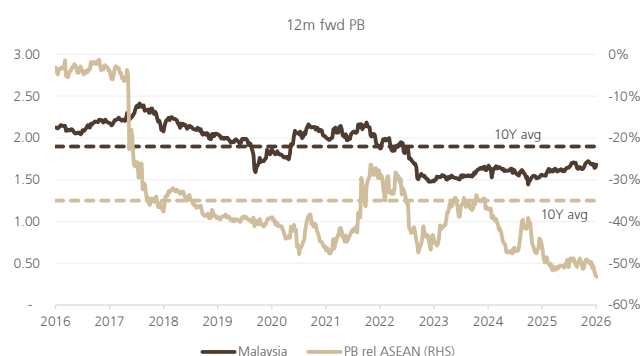
Overweight	Neutral	Underweight
Korea	Taiwan	Australia
China	South Africa	India
Brazil	Singapore	Hong Kong
UAE	Saudi Arabia	Mexico
Malaysia	Poland	Indonesia
Vietnam	Thailand	Philippines

Source: UBS

Overweight Malaysia: Stable macro and MY Value Up support re-rating

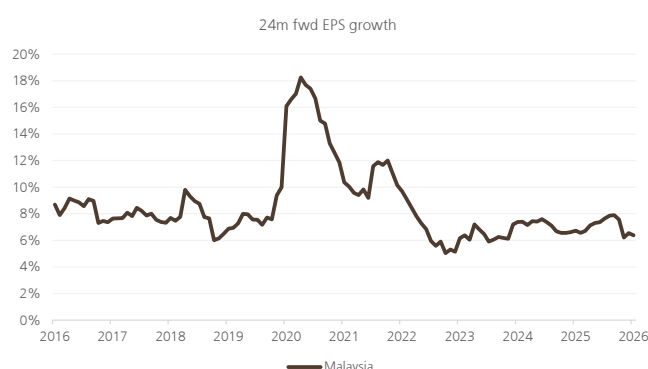
Malaysia has one of the most stable macro/political situations in the ASEAN region. Fiscal reform could help macro narrative, alongside continue inflows from local pension funds into local equities. FDI inflows to data centres and the Johor-Singapore Special Economic Zone (JS-SEZ) should support economic growth, which could drive a re-rating. MY Value Up Programme could help sustain positive market narrative and act as a further positive catalyst, reinforced by policy-supported inflows. We prefer exposure to the domestic investment cycle, consumption growth, tech-related opportunities and value-up.

Figure 45: Malaysia is trading at a discount to ASEAN despite its relatively stable outlook. If successfully implemented, MY Value Up could help drive a re-rating



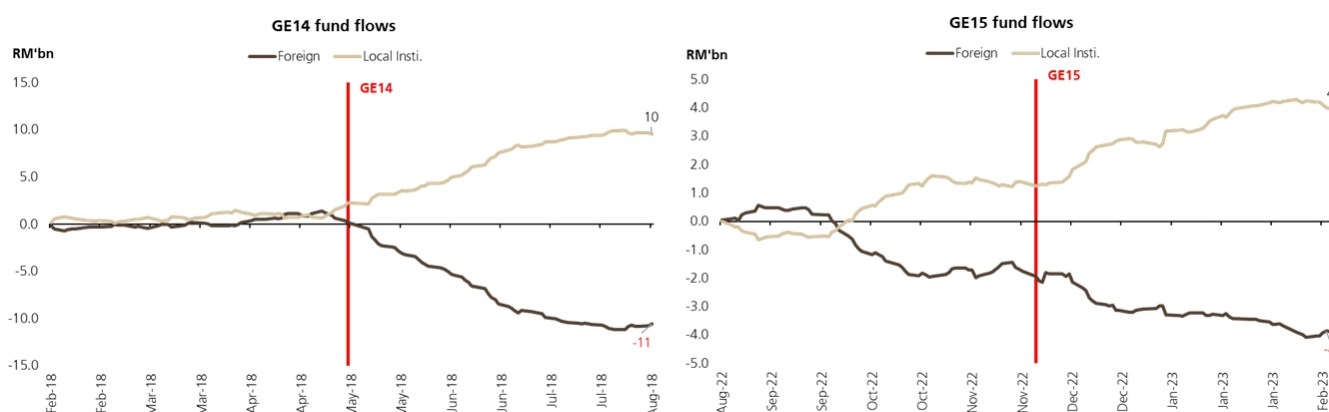
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 46: Excluding the pandemic years, Malaysia growth has been largely stable and resilient



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 47: Key to watch is the upcoming elections—while the timing is still uncertain, foreign investors have typically been net sellers around election periods



Source: Dibots, UBS

Figure 48: Preferred stocks in Malaysia

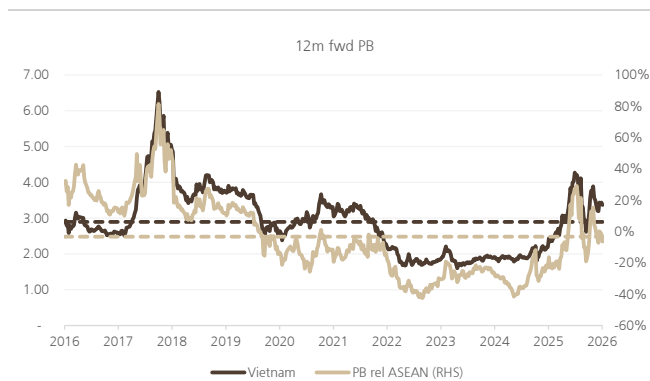
	RIC	Mkt Cap (US\$ bn)	Price (LC)	Price Target (LC)	P/E (x)		P/BV (x)		Dividend yield (%)		EPS growth (%)	
					2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Tenaga	TENA.KL	20.4	14.4	17.0	17.0	16.1	1.6	1.6	3.8	4.0	19.3	5.9
CIMB Group	CIMB.KL	20.3	7.7	9.2	10.5	9.8	1.1	1.1	6.1	6.2	0.0	6.8
Petronas Chemicals	PCGB.KL	9.6	4.9	6.9	21.2	23.6	1.1	1.0	2.6	2.3	-269.2	-10.1
Mr D.I.Y.	MRDI.KL	3.7	1.6	2.15	21.1	18.8	8.0	8.0	5.7	5.3	11.7	11.8
Kelington Group	KELG.KL	1.5	8.0	9.0	34.2	26.8	8.4	7.4	1.7	2.1	10.4	27.7

Source: UBS. Pricing data as of 24 July 2026.

Overweight Vietnam: Premier growth story with EM upgrade upside

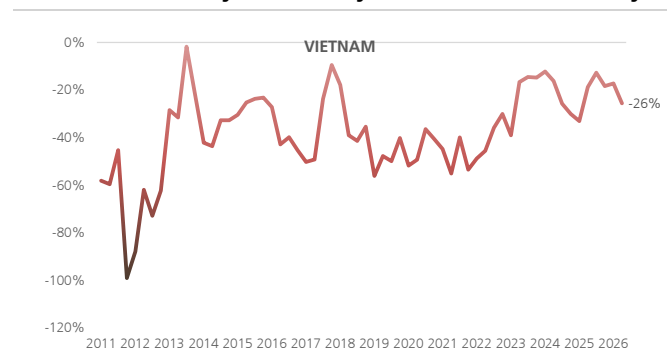
Structural drivers remain intact, with the ongoing integration into global supply chains continuing to support FDI flows. Vietnam remains the fastest growing economy within ASEAN, albeit with higher sensitivity to shifts in global growth and trade. Key risks include [higher interest rates and tight liquidity](#). Meanwhile, capital market reforms, which aim to improve market access and align with international standards, as well as the impending FTSE inclusion into the secondary EM index starting September 2026 and targeted MSCI EM inclusion by 2030 could be further catalysts for equity inflows and market upside. Our preferred stocks are plays to the macro growth story, including consumer, banks and industrials.

Figure 49: Vietnam remains at a discount relative to the rest of ASEAN, but this could change as momentum builds towards EM inclusion



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 50: Vietnam still trades at the same valuation perception discount as 10 years ago, indicating the EM index inclusion may not be fully reflected in valuations yet



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 51: Preferred stocks in Vietnam

	RIC	Mkt Cap (US\$ bn)	Price (LC)	Price Target (LC)	P/E (x)		P/BV (x)		Dividend yield (%)		EPS growth (%)	
					2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
TECHCOMBank	TCB.HM	7.7	28600.0	45000.0	7.2	5.6	1.1	1.0	2.5	5.6	10.7	29.0
HPG	HPG.HM	6.7	20800.0	31500.0	8.8	6.8	1.1	0.9	0.5	1.3	32.2	28.7
Asia Commercial Bank	ACB.HM	4.4	22500.0	36000.0	6.1	4.9	1.1	0.9	3.1	5.0	21.3	23.8
Mobile World	MWG.HM	3.8	68000.0	118000.0	11.9	10.6	3.2	3.0	1.8	2.0	18.4	12.5
Vincom Retail	VRE.HM	1.9	21900.0	41100.0	9.0	8.3	n/a	n/a	4.6	0.0	-13.8	8.0
Gemadept	GMD.HM	1.2	73200.0	92000.0	15.3	14.5	2.3	2.2	4.6	4.8	19.7	5.5
FPT Retail	FRT.HM	0.7	107800.0	200000.0	18.1	14.1	3.7	3.0	1.1	1.4	27.9	27.7
Nam Long Investment	NLG.HM	0.4	21350.0	37000.0	11.7	12.2	n/a	n/a	4.7	4.7	13.6	-4.4

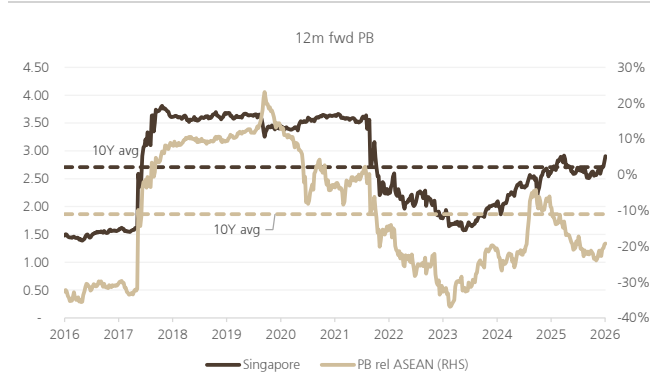
Source: UBS. Pricing data as of 24 July 2026.

Neutral Singapore: Reforms and safe-haven flows underpin resilience

While higher-for-longer rates are typically a headwind, Singapore is a relative beneficiary due to the banks, which are index heavyweights (c60% of MSCI Singapore). The market is also supported by long-term structural demand drivers, particularly in financial services given increasing focus on wealth management in a market increasingly emerging as a regional 'safe haven' and tech. In addition, the Monetary Authority of Singapore's (MAS) market reform measures should help improve market depth and liquidity, supporting market performance. We prefer names that are high-quality and

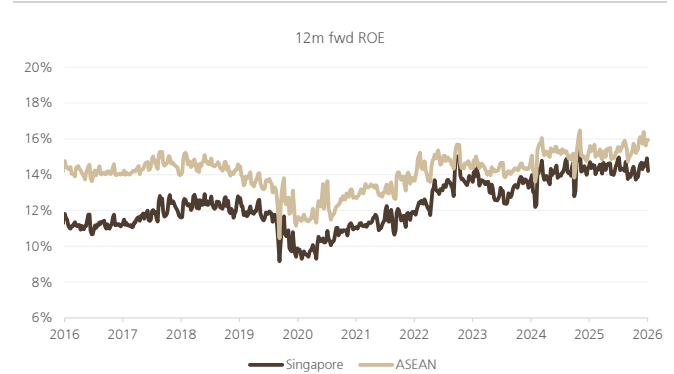
undervalued with company-specific catalysts.

Figure 52: Singapore remains at a valuation discount relative to peers



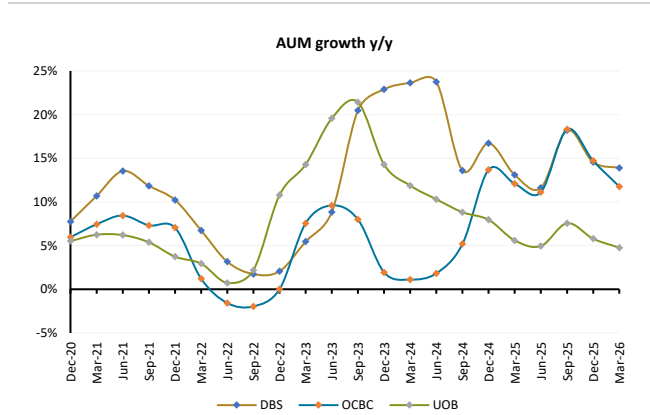
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 53: Even as ROEs have been closing in to the rest of ASEAN



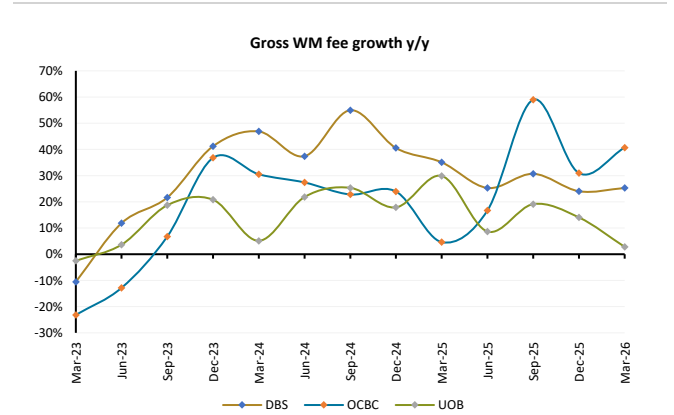
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 54: Singapore banks' WM business is benefiting from strong AUM growth and safe haven inflows...



Source: Company data, UBS

Figure 55: ...driving fee income, which support group ROE and profitability



Source: Company data, UBS

Figure 56: Preferred stocks in Singapore

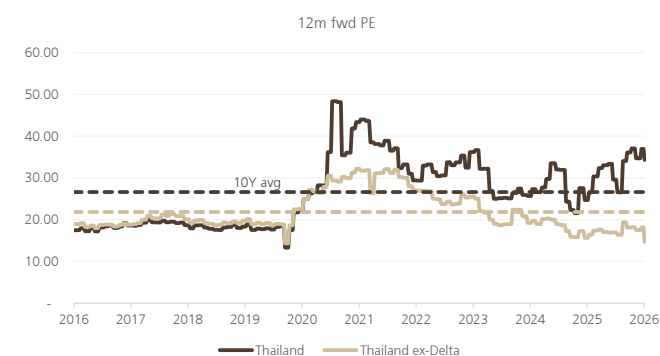
	RIC	Mkt Cap (US\$ bn)	Price (LC)	Price Target (LC)	P/E (x)		P/BV (x)		Dividend yield (%)		EPS growth (%)	
					2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
ST Engineering	STEG.SI	25.6	10.6	12.6	31.6	25.6	11.0	9.2	1.9	2.1	126.1	23.3
Jardine Matheson	JARD.SI	18.7	63.6	80.0	12.2	10.1	0.7	0.6	3.9	4.1	-9.0	21.2
UOL Group	UTOS.SI	6.2	9.4	12.7	16.8	12.7	n/a	n/a	2.1	2.3	20.6	31.8
City Developments	CTDM.SI	5.2	7.5	11.6	15.2	13.3	n/a	n/a	2.7	2.7	-39.1	14.1
AEM Holdings	AEM.SI	2.2	9.0	16.0	38.5	22.9	5.1	4.3	0.5	0.9	332.9	68.3

Source: UBS. Pricing data as of 24 July 2026.

Neutral Thailand: Recovery potential tempered by macro headwinds

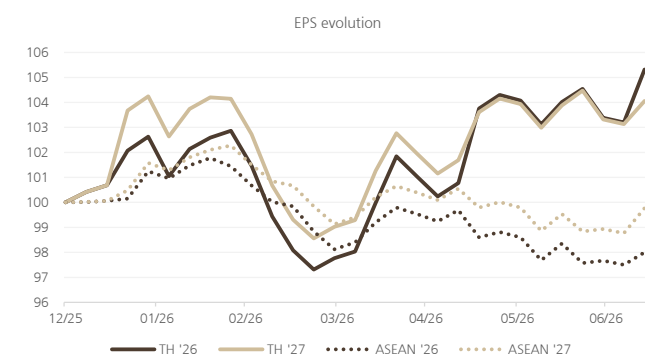
The general election in 2026 is a positive development given a more stable government. While it remains one of the weakest macro outlooks in the ASEAN region with a relatively high exposure to the energy shock, key things to watch include the execution of government policies (i.e. fiscal stimulus), tourism recovery and a turn in the K-shaped consumption recovery. Valuations are expensive largely driven by Delta which is a beneficiary of robust AI demand. Ex-Delta, valuations for the rest of the market are approximating 20-year lows.

Figure 57: Thailand's valuations are skewed by index heavyweight Delta Electronics. Ex-Delta, valuations are near decade lows.



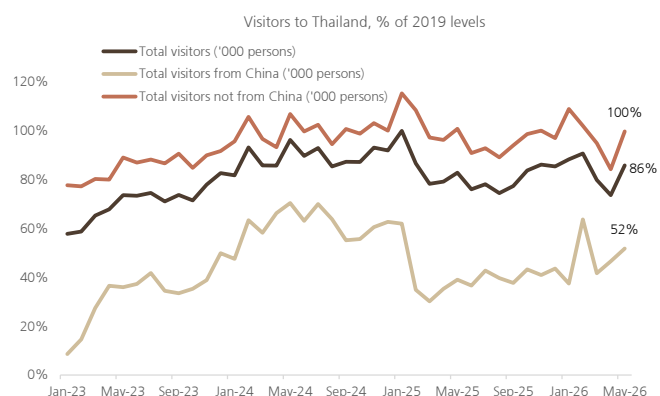
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 58: Thailand has been seeing upgrades so far this year, unlike the rest of ASEAN



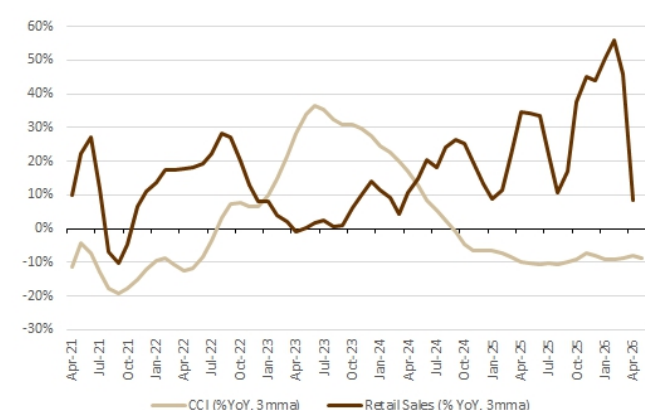
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 59: Visitors to Thailand have yet to recover to pre-pandemic levels; Chinese visitors at 52% of 2019 levels



Source: Ministry of Tourism and Sports

Figure 60: Consumer confidence index vs retail sales index: Thailand consumer confidence remains weak



Source: Bank of Thailand. Note: Retail Sales Index is as of April 2026, while CCI is as of May 2026.

Figure 61: Preferred stocks in Thailand

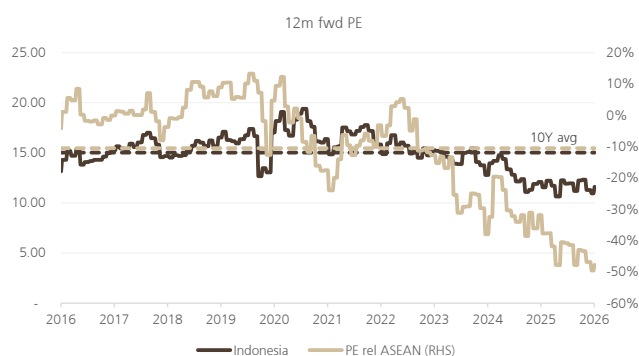
	RIC	Mkt Cap (US\$ bn)	Price (LC)	Price Target (LC)	P/E (x)		P/BV (x)		Dividend yield (%)		EPS growth (%)	
					2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
AIS	ADVANC.BK	33.2	376.0	400.0	21.4	20.3	19.5	18.2	4.5	4.9	13.4	5.4
Gulf Development	GULF.BK	29.2	66.0	82.0	29.4	27.1	3.0	2.8	2.2	2.4	16.6	8.4
Kasikornbank	KBANK.BK	16.9	240.0	255.0	11.3	11.7	1.0	0.9	5.8	5.5	1.5	-3.6
True Corp	TRUE.BK	14.3	14.0	19.3	19.0	17.8	5.9	5.5	3.9	4.2	33.3	7.0
CP All	CPALL.BK	12.3	46.5	61.0	13.7	12.4	2.7	2.4	3.4	3.7	7.6	10.4
Bangkok Dusit	BDMS.BK	8.9	18.9	23.0	19.1	17.7	2.8	2.7	4.5	4.9	-0.7	7.6

Source: UBS. Pricing data as of 24 July 2026.

Underweight Indonesia: Deep value, but awaiting stronger catalysts

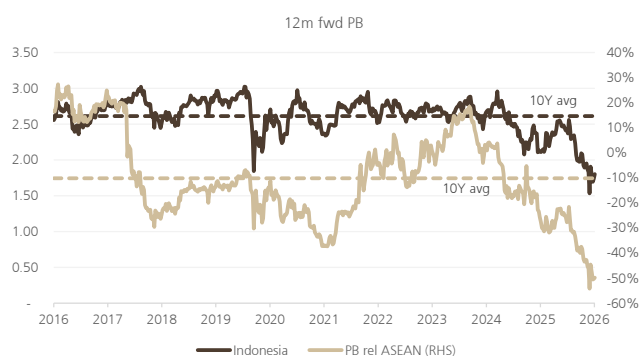
While recent easing of policies and greater fiscal discipline are positive developments, uncertainties around government policies and execution are likely to continue to weigh on overall sentiment. The earnings downgrade cycle could still continue—in particular, consensus has yet to fully reflect the banks' asset quality and earnings risks, with UBS forecasting flat sector earnings in 2027 or c12% below consensus. While MSCI's ongoing market accessibility review (extended to November 2026) poses risk of further outflows, UBS Indonesia strategy team thinks the probability a downgrade to frontier market status is low. Any easing of these concerns could drive a near-term relief rally. Valuations are at 20-year lows and positioning is light, but as structural issues remain, further catalysts for a sustained re-rating may be limited.

Figure 62: Indonesia's PE is now at decade lows due to continued uncertainties including policy, earnings and FX



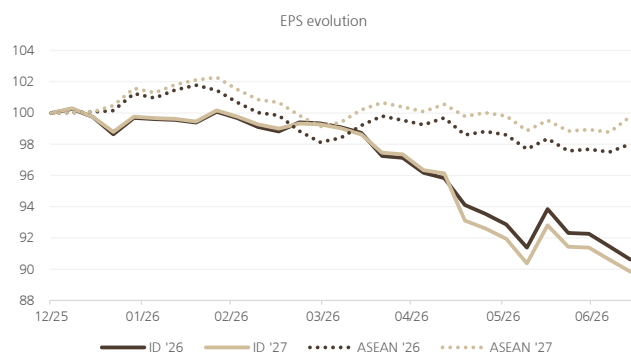
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 63: Similarly, PB has de-rated to more than 2SD below 10y averages, both on an absolute and relative basis



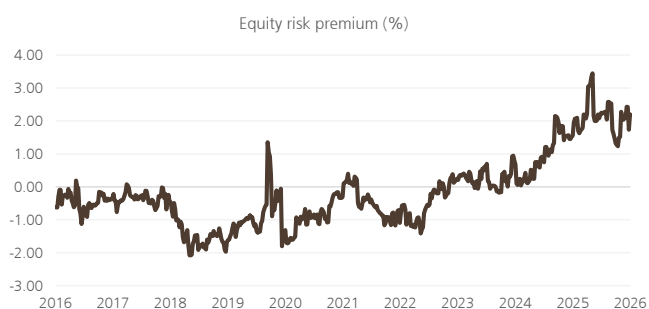
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 64: Earnings momentum has been weak, with cuts likely to continue driven primarily by the banks



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 65: Equity risk premium has increased since 2025, reflecting rising political uncertainty combined with the possible MSCI downgrade to frontier market



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 66: Preferred stocks in Indonesia

	RIC	Mkt Cap (US\$ bn)	Price (LC)	Price Target (LC)	P/E (x)		P/BV (x)		Dividend yield (%)		EPS growth (%)	
					2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
BCA	BBCA.JK	43.1	6275.0	7150.0	13.3	12.8	2.6	2.4	5.4	5.4	0.6	4.0
Amman	AMMN.JK	16.3	4040.0	6100.0	19.6	10.7	2.6	2.1	0.0	0.0	242.7	78.5
Telkom Indonesia	TLKM.JK	14.5	2630.0	3400.0	12.0	10.7	2.0	1.9	8.1	8.1	-3.8	11.5
Alamtri Minerals	ADMRI.JK	3.4	1480.0	2500.0	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Vale Indonesia	INCO.JK	2.7	4870.0	8400.0	11.2	6.2	0.9	0.8	1.1	3.7	224.3	75.2
Cimory	CMRY.JK	2.0	4580.0	6800.0	16.1	13.1	4.9	4.3	4.4	4.9	12.3	23.0

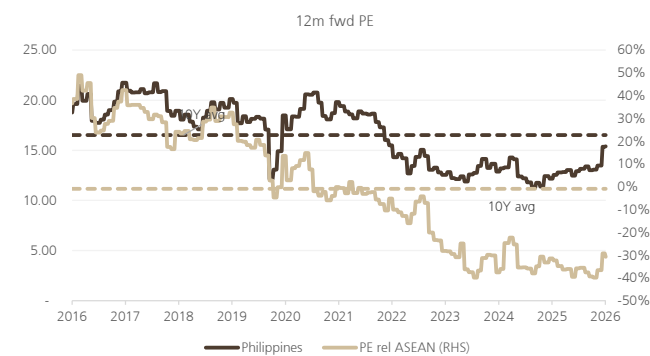
Source: UBS. Pricing data as of 24 July 2026.

Underweight Philippines: Macro risks outweigh valuation support

Despite trough valuations, we are underweight Philippines given rising macro headwinds. While easing oil prices could provide some reprieve, higher inflation risks from El Niño-related supply pressures, combined with tighter financial conditions and political uncertainty, may likely lead to further underperformance relative to peers. Elevated rates could dampen domestic demand and credit growth, posing further downside risks to earnings—consensus estimates already at below-trend growth, while H126 earnings are likely to be challenged on weak consumer spending and cost pressures weighing on margins. Meanwhile, domestic institutions' ongoing reallocation from domestic to global equities poses further risks to the market. While valuations are close to 20-year lows, macro risks, low earnings visibility and political noise may limit market performance. We adopt a barbell approach combining undervalued cyclicals

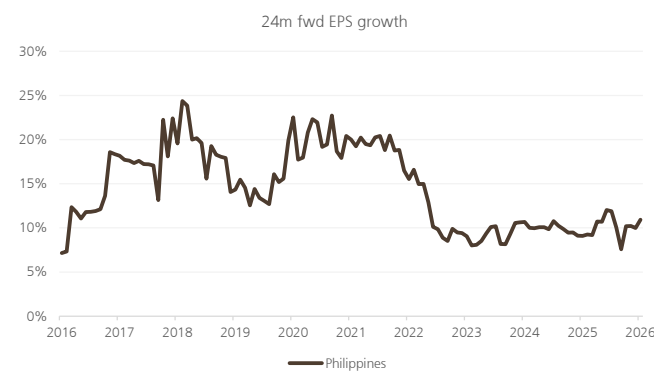
with defensives offering dividend support.

Figure 67: The Philippines is trading close to trough valuations as macro risks, political uncertainty and low earnings visibility weigh on sentiment



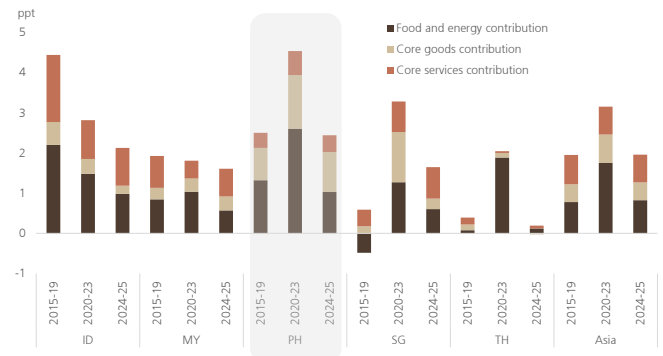
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 69: Earnings growth remains below trend and has yet to see a sustained recovery back to pre-pandemic levels



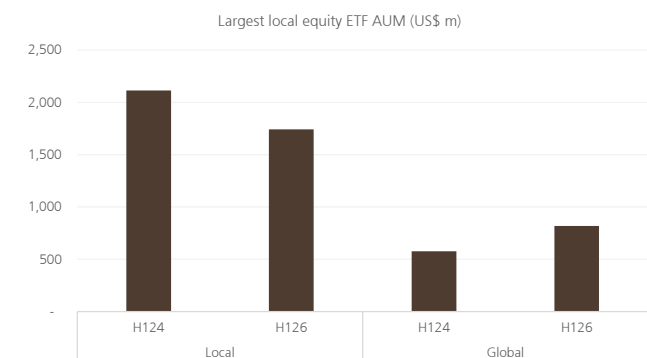
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 68: One of the most sensitive to food and energy inflation, leaving it vulnerable to supply risks from the Middle East tensions and El Niño



Source: CEIC, UBS estimates

Figure 70: Local institutions' ongoing rotation into global equities also likely contributes to index underperformance



Source: Refinitiv, UBS. Note: We compiled AUM data across the largest equity ETFs, excluding VULs and IMAs due to limited disclosure.

Figure 71: Preferred stocks in the Philippines

	RIC	Mkt Cap (US\$ bn)	Price (LC)	Price Target (LC)	P/E (x) 2026E	P/E (x) 2027E	P/BV (x) 2026E	P/BV (x) 2027E	Dividend yield (%) 2026E	Dividend yield (%) 2027E	EPS growth (%) 2026E	EPS growth (%) 2027E
Banco de Oro	BDO.PS	10.6	123.0	180.0	7.7	6.5	1.0	0.9	3.7	4.1	-2.5	17.8
Meralco	MER.PS	10.9	600.0	750.0	13.5	12.3	3.6	3.2	4.8	4.9	-2.2	9.6
BPI	BPI.PS	8.8	102.5	145.0	8.3	7.1	1.1	1.0	4.9	4.8	-1.9	16.8
Jollibee	JFC.PS	2.6	144.0	220.0	16.0	11.1	1.9	1.7	2.3	3.3	-4.2	44.1
Maynilad	MYNLD.PS	2.3	19.5	25.5	8.7	8.6	1.2	1.1	5.8	6.4	-13.3	1.7
Monde Nissin	MONDE.PS	2.0	6.7	8.4	10.9	10.4	2.0	1.9	8.9	6.9	13.7	4.9

Source: UBS. Pricing data as of 24 July 2026.

Figure 72: ASEAN markets' performance and valuation

	Performance (US\$)					12m fwd P/E (x)			EPS growth (%)			12m fwd P/B (x)			12m fwd ROE		12m fwd dividend yield	
	YTD 2026	1m	3m	2025	2024	Latest	YoY change	10y avg	2026E	2027E	2028E	Latest	YoY change	10y avg	Latest	10y avg	Latest	10y avg
Singapore	18.1%	8.5%	16%	32%	32%	19.6	11%	14.0	7.5	13.0	10.8	2.9	10%	2.7	14%	12%	3.6%	4.3%
Thailand	26.4%	4.1%	6%	7%	2%	34.3	39%	26.6	13.6	12.7	13.2	8.0	53%	5.1	24%	18%	3.4%	3.1%
Malaysia	3.2%	2.7%	-4%	15%	21%	15.3	6%	15.1	6.1	6.3	4.5	1.7	8%	1.9	11%	12%	4.6%	4.2%
Vietnam	-3.6%	-9.6%	-8%	67%	-6%	44.4	138%	25.0	9.5	22.5	-14.8	3.4	38%	2.9	12%	15%	1.3%	1.3%
Indonesia	-34.8%	5.7%	-16%	-2%	-12%	11.6	-4%	15.0	-2.4	10.2	12.1	1.8	-15%	2.6	17%	17%	7.7%	3.7%
Philippines	7.9%	7.3%	10%	1%	0%	15.4	26%	16.5	2.1	10.6	9.7	5.7	32%	3.5	28%	21%	3.4%	2.7%
ASEAN	7.9%	6.5%	7%	17%	12%	22.2	25%	17.1	7.2	11.5	10.2	3.6	24%	3.0	16%	14%	3.9%	3.8%
EM	17.5%	-5.6%	2%	34%	8%	18.6	10%	17.3	28.4	23.7	15.3	4.2	32%	3.1	25%	17%	2.4%	2.9%
Japan	14.3%	-1.3%	5%	25%	9%	21.6	26%	17.2	10.4	14.3	11.3	3.6	45%	2.1	16%	12%	2.1%	2.6%
USA	8.9%	0.8%	4%	18%	25%	27.0	0%	26.5	24.8	15.8	14.7	9.1	-5%	8.2	39%	35%	1.1%	1.5%
World	9.2%	1.0%	4%	22%	19%	24.1	2%	23.3	21.9	14.6	13.3	7.4	0%	6.4	33%	28%	1.7%	2.1%

Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Figure 73: ASEAN sectors' performance and valuation

	Performance				12m fwd PE			EPS growth (y/y)		12m fwd PB			ROE		12m fwd dividend yield	
	YTD 2026	1m	6m	2025	Latest	10y svg	PE YoY change	2026	2027	Latest	10y avg	PB YoY change	Latest	10y avg	Latest	10y avg
Indonesia																
ID:Banks	-21.3%	5.3%	-20.0%	-10.0%	9.1	15.6	-30.8%	-3%	7%	1.8	2.7	-25%	20%	17%	6.5%	3.3%
ID:Telcom_svc	-24.1%	5.1%	-29.4%	33.4%	11.3	14.7	1.4%	11%	9%	1.9	3.1	0%	16%	21%	5.8%	5.0%
ID:Materials	-57.5%	10.6%	-57.2%	16.4%	44.5	NA	NA	6%	12%	3.5	NA	1150%	9%	NA	0.0%	NA
ID:Energy	-67.9%	15.8%	-65.2%	5.8%	6.7	8.4	45.3%	-17%	25%	0.9	1.4	11%	13%	17%	6.6%	5.7%
ID:Food&Bev/Tbc	-30.0%	3.5%	-28.4%	-15.6%	9.1	20.1	-50.7%	-20%	4%	NA	NA	NA	NA	NA	NA	NA
Malaysia																
MY:Banks	4.7%	3.4%	-1.2%	20.5%	11.2	11.3	12.7%	2%	6%	1.2	1.2	11%	11%	10%	5.9%	5.0%
MY:Util	6.6%	1.3%	2.7%	2.2%	17.0	13.9	3.8%	4%	7%	1.7	1.4	9%	10%	10%	3.6%	4.4%
MY:Materials	16.4%	2.1%	13.4%	27.3%	22.8	20.7	12.1%	23%	-3%	3.9	4.2	26%	17%	20%	1.7%	2.4%
MY:Cap_Gd	-10.6%	-0.2%	-6.7%	15.4%	21.6	15.7	-7.3%	15%	21%	1.8	1.2	-13%	9%	8%	1.9%	3.1%
MY:Food&Bev/Tbc	6.7%	5.0%	4.2%	9.4%	17.7	22.7	-0.4%	-1%	0%	NA	NA	NA	NA	NA	NA	NA
MY:Telcom_svc	-9.0%	6.3%	-11.6%	16.8%	17.6	21.5	-6.8%	2%	8%	3.0	7.4	-5%	17%	36%	4.3%	3.9%
MY:Health_Eqp_svc	-5.3%	-3.8%	-4.9%	34.0%	31.7	37.9	9.4%	5%	16%	NA	NA	NA	NA	NA	NA	NA
MY:Transp	4.7%	0.1%	2.3%	24.1%	13.3	15.3	-5.9%	49%	6%	0.9	0.9	10%	7%	6%	5.0%	4.2%
Philippines																
PH:Transp	66.7%	13.3%	52.4%	49.9%	25.3	18.2	64.4%	15%	14%	11.8	5.7	46%	47%	32%	3.2%	3.1%
PH:Banks	-10.8%	1.1%	-12.3%	-3.1%	7.0	11.5	-21.6%	-4%	9%	0.9	1.3	-23%	12%	11%	4.2%	2.2%
PH:Cap_Gd	-9.7%	8.4%	-14.5%	-23.8%	6.5	17.3	-28.4%	-11%	12%	0.7	1.9	-45%	11%	11%	2.2%	1.1%
PH:Util	2.2%	4.2%	1.0%	21.4%	11.8	15.1	1.7%	0%	6%	3.1	3.8	-6%	27%	25%	4.7%	5.0%
PH:Telcom_svc	-3.5%	5.6%	-9.9%	3.0%	7.5	11.2	0.5%	8%	5%	1.7	2.3	-15%	23%	21%	8.0%	6.0%
Singapore																
Banks	37.4%	13.3%	27.8%	33.3%	15.9	10.4	49%	5%	6%	2.3	1.2	45%	14%	12%	4.3%	5.0%
Cap_Gd	19.8%	4.1%	12.7%	64.1%	21.0	15.0	18%	34%	14%	5.2	2.6	29%	23%	15%	3.7%	4.1%
Telcom_svc	-3.9%	0.2%	-2.1%	63.5%	22.7	16.6	3%	-45%	13%	2.5	1.8	0%	11%	11%	4.5%	5.1%
Transp	-13.5%	-1.9%	-9.4%	8.3%	23.6	19.0	64%	16%	39%	1.4	1.0	9%	6%	7%	3.7%	2.8%
Fin_serv	40.5%	0.1%	35.1%	44.8%	33.1	21.7	41%	11%	8%	9.6	6.8	37%	29%	31%	2.0%	3.7%
Food&Bev/Tbc	29.1%	5.8%	21.9%	10.4%	11.4	11.7	17%	12%	8%	0.7	0.9	-3%	6%	8%	4.4%	3.9%
Thailand																
TH:Tech_Hw&Eqp	66.4%	-2.9%	44.0%	23.5%	87.8	42.5	58.3%	50%	29%	NA	NA	NA	NA	NA	NA	NA
TH:Energy	23.0%	12.6%	15.7%	13.9%	9.3	10.5	11.2%	14%	-3%	1.0	1.1	30%	11%	10%	6.6%	4.8%
TH:Telcom_svc	20.9%	5.2%	10.3%	16.6%	19.7	20.9	-3.9%	15%	9%	14.0	7.8	95%	69%	41%	4.3%	4.1%
TH:Banks	30.4%	15.4%	30.1%	44.2%	12.0	8.6	52.1%	-10%	3%	1.1	0.8	55%	9%	9%	6.8%	4.6%
TH:Transp	12.1%	3.8%	13.7%	3.9%	34.1	NA	62.9%	50%	10%	5.4	6.1	69%	16%	NA	1.7%	1.3%
TH:Util	56.3%	6.6%	38.2%	-20.4%	25.8	NA	8.7%	-50%	11%	2.7	NA	54%	11%	NA	2.9%	NA
TH:Materials	31.1%	4.7%	13.4%	16.6%	20.5	12.7	8.3%	-26%	30%	0.9	1.3	61%	4%	11%	3.1%	3.9%
TH:Food&Bev/Tbc	-5.2%	12.2%	-2.6%	10.5%	8.8	14.9	-0.5%	-25%	12%	NA	NA	NA	NA	NA	NA	NA
TH:Cons_Svcs	-12.4%	-9.6%	-8.0%	3.8%	13.5	NA	-6.3%	3%	12%	1.5	2.5	-3%	11%	NA	2.9%	1.3%

Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology

Valuation Method and Risk Statement

Equity investing has many uncertainties, but generally, economic and policy surprises pose the most consistent and constant risks. Economic growth can be volatile, leading to earnings uncertainty. Inflation volatility can likewise lead to interest rate uncertainty. The direction and level of policy rates have a substantial impact on equity valuations. Political events can also have a significant impact, both on growth and risk premiums.

Country specific risks include slowing economic growth; rising inflation; increasing unemployment; adverse political developments leading to instability; trade war leading to trade restrictions; adverse weather and natural disasters that may impact consumption such as flooding.

Company specific risks include competition, regulation risk, high operating cost, currency depreciation, declining purchasing power, excessive credit growth, NPL issues, provision risk, recapitalization risk, availability of financing for buyers, changes in consumer preferences, e-commerce disruption, market share loss, and ease of logistics.

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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Company Name	Reuters	12-month rating	Price	Price date
AEM Holdings ^{13,28}	AEM.SI	Buy	S\$8.79	27 Jul 2026
Advanced Info Service ^{2,4,6c}	ADVANC.BK	Buy	Bt376.00	24 Jul 2026
Alamtri Minerals ²⁰	ADMR.JK	Buy (CBE)	Rp1,475	27 Jul 2026
Amman Mineral Internasional ^{28,20}	AMMN.JK	Buy (CBE)	Rp4,030	27 Jul 2026
Asia Commercial Joint Stock Bank ⁷	ACB.HM	Buy	D22,300	27 Jul 2026
Banco de Oro Universal Bank ^{28,7}	BDO.PS	Buy	P125.20	27 Jul 2026
Bangkok Dusit Medical Services ²⁸	BDMS.BK	Buy	Bt18.90	24 Jul 2026
Bank Central Asia	BBCA.JK	Buy	Rp6,300	27 Jul 2026
Bank of the Philippine Islands ^{4,7,6a,6c}	BPI.PS	Buy	P102.00	27 Jul 2026
CIMB Group Holdings Berhad ^{28,7,6a,6b}	CIMB.KL	Buy	RM7.80	27 Jul 2026
CP All ²⁸	CPALL.BK	Buy	Bt46.50	24 Jul 2026
Cisarua Mountain Dairy ²⁸	CMRY.JK	Buy	Rp4,740	27 Jul 2026
City Developments ²⁸	CTDM.SI	Buy	S\$7.53	27 Jul 2026
FPT Digital Retail JSC	FRT.HM	Buy	D107,800	27 Jul 2026
Gemadept	GMD.HM	Buy	D72,300	27 Jul 2026
Gulf Development ^{2,28,6c}	GULF.BK	Buy	Bt66.00	24 Jul 2026
Hoa Phat Group	HPG.HM	Buy	D20,350	27 Jul 2026
Jardine Matheson ^{4,28,7,6c}	JARD.SI	Buy	US\$64.07	27 Jul 2026
Jollibee	JFC.PS	Buy	P144.30	27 Jul 2026
Kasikornbank ^{4,7,6c}	KBANK.BK	Buy	Bt240.00	24 Jul 2026
Kelington Group Berhad ¹³	KELG.KL	Buy	RM8.21	27 Jul 2026
Manila Electric ^{4,6c}	MER.PS	Buy	P589.50	27 Jul 2026
Maynilad Water Services ^{2,4,28,6c}	MYNLD.PS	Buy	P19.68	27 Jul 2026
Mobile World Investment	MWG.HM	Buy	D63,300	27 Jul 2026
Monde Nissin	MONDE.PS	Buy	P7.09	27 Jul 2026
Mr D.I.Y. ^{4,28,6c}	MRDI.KL	Buy	RM1.59	27 Jul 2026
Nam Long Investment Corporation	NLG.HM	Buy	D20,000	27 Jul 2026
Petronas Chemicals Group BHD	PCGB.KL	Buy	RM4.75	27 Jul 2026
ST Engineering ²⁸	STEG.SI	Buy	S\$10.59	27 Jul 2026
Techcombank	TCB.HM	Buy	D28,250	27 Jul 2026
Telkom Indonesia ¹⁶	TLKM.JK	Buy	Rp2,590	27 Jul 2026
Tenaga Nasional ^{1,2,5,28,7,6c}	TENA.KL	Buy	RM14.46	27 Jul 2026
True Corporation ^{13,28}	TRUE.BK	Buy	Bt14.00	24 Jul 2026
UOL Group ²⁸	UTOS.SI	Buy	S\$9.51	27 Jul 2026
Vale Indonesia Tbk	INCO.JK	Buy	Rp4,770	27 Jul 2026
Vincom Retail Joint Stock Company	VRE.HM	Buy	D21,350	27 Jul 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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